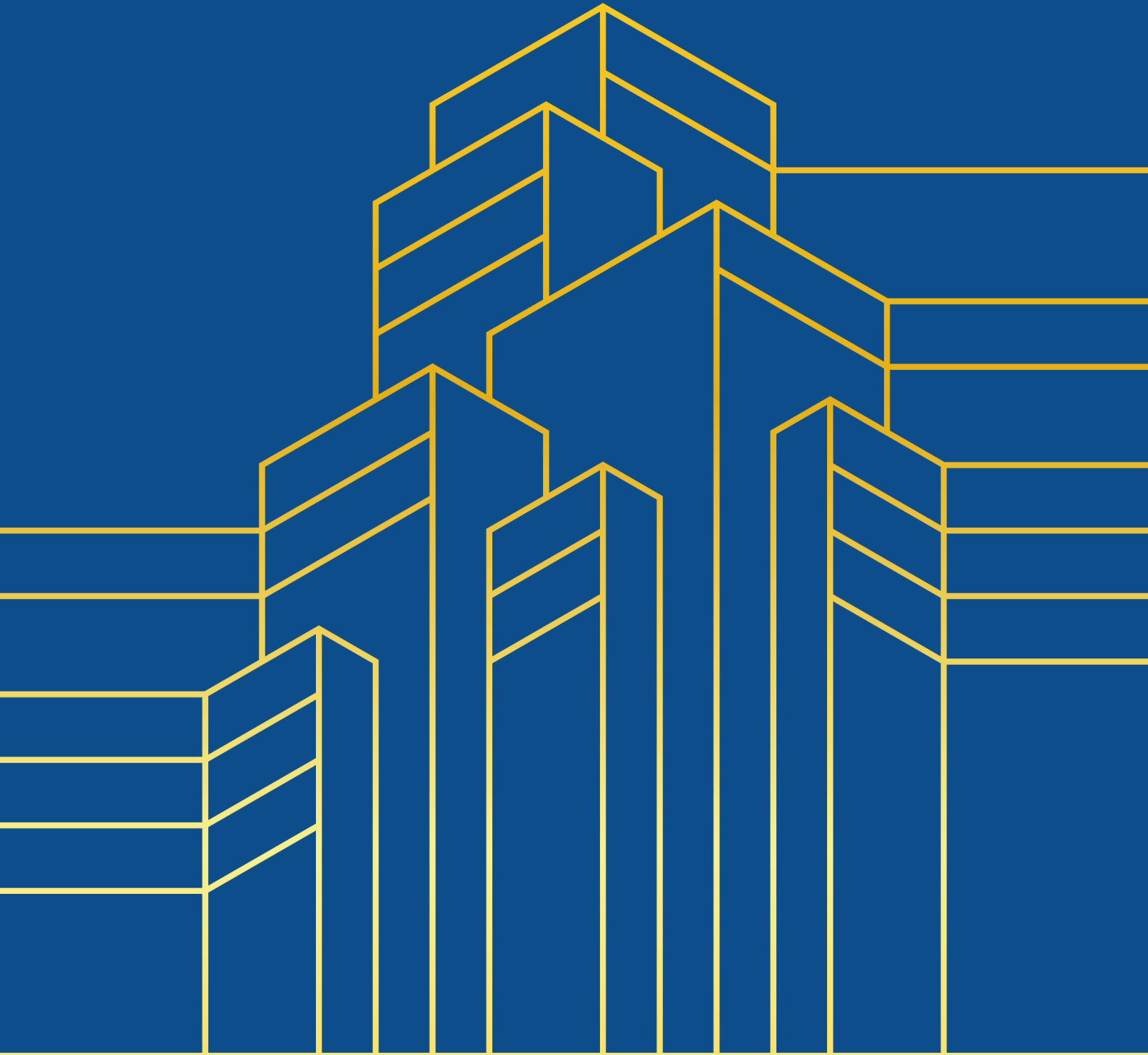
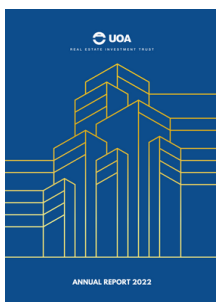




REAL ESTATE INVESTMENT TRUST



ANNUAL REPORT 2022



ABOUT THE COVER

The cover depicts well-located quality properties that stand for synergy, progress and resilience. UOA REIT's business approach is defined by our corporate philosophy of building excellence, as well as our commitment to ensuring the long-term sustainability of our business.

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UOA Corporate Tower



Wisma UOA Damansara II



UOA II



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GLOSSARY

Manager

UOA Asset Management Sdn Bhd
200501015592 (692639-U)

Parcel B – Menara UOA Bangsar

Consisting of a tower block, namely Tower B comprising 15 levels of office space, 3 levels of retail podium, 6 levels of elevated car park and 4 levels of basement car park (which form part of a development known as Menara UOA Bangsar)

Properties

Wisma UOA Damansara II, UOA Corporate Tower, Parcel B – Menara UOA Bangsar and the parcels within UOA Centre, UOA II and UOA Damansara

Property Manager

Jordan Lee & Jaafar Sdn Bhd
198001006117 (59901-U)

Trustee

RHB Trustees Berhad
200201005356 (573019-U)

Unitholders

Unitholders of UOA REIT

UOA Ltd Group

United Overseas Australia Ltd
(ACN009245890) and its subsidiaries

UOA Holdings Group

UOA Holdings Sdn Bhd
198901012937 (190246-V) and its subsidiaries

UOA REIT/The Trust

UOA Real Estate Investment Trust



UOA Damansara & Wisma UOA Damansara II

CORPORATE INFORMATION

MANAGER

UOA Asset Management Sdn Bhd
200501015592 (692639-U)

PRINCIPAL PLACE OF BUSINESS OF THE MANAGER

UOA Corporate Tower
Lobby A, Avenue 10, The Vertical
Bangsar South City
No. 8, Jalan Kerinchi
59200 Kuala Lumpur, Malaysia
Telephone : +603 2245 9188
Facsimile : +603 2241 4862

REGISTERED ADDRESS OF THE MANAGER

No. 9, Jalan Indah 16
Taman Cheras Indah
56100 Kuala Lumpur, Malaysia
Telephone : +603 9287 1000
Facsimile : +603 9287 2000

BOARD OF DIRECTORS OF THE MANAGER

Dato' Gan Boon Khuay (Chairman)
Kong Sze Choon (Chief Executive Officer)
Kung Beng Hong
Yap Kang Beng
Karn Sau Meng

AUDIT AND RISK MANAGEMENT COMMITTEE

Kung Beng Hong (Chairman)
Yap Kang Beng
Karn Sau Meng

COMPANY SECRETARIES OF THE MANAGER

Yap Kai Weng (MAICSA No.: 74580)
Wong Yoke Leng (MAICSA No.: 7032314)

MANAGEMENT TEAM OF THE MANAGER

Kong Sze Choon (Chief Executive Officer/Executive Director)
Liao Wan Xin (Accountant)
Fam Chai Hing (Compliance Officer)

TRUSTEE

RHB Trustees Berhad
200201005356 (573019-U)
Level 11, Tower Three
RHB Centre
Jalan Tun Razak
50400 Kuala Lumpur, Malaysia
Telephone : +603 9280 8799
Facsimile : +603 9280 8796

PROPERTY MANAGER

Jordan Lee & Jaafar Sdn Bhd
198001006117 (59901-U)
Suite 1.1, Level 1, Block C
Plaza Damansara
45, Jalan Medan Setia 1
Bukit Damansara
50490 Kuala Lumpur, Malaysia
Telephone : +603 2095 5811
Facsimile : +603 2095 5843

REGISTRAR OF THE TRUST IN CHARGE OF THE REGISTER OF UNITHOLDERS

Tricor Investor & Issuing House Services Sdn Bhd
198401005881 (118401-V)
Unit 32-01, Level 32, Tower A
Vertical Business Suite, Avenue 3
Bangsar South City
No. 8, Jalan Kerinchi
59200 Kuala Lumpur, Malaysia
Telephone : +603 2783 9299
Facsimile : +603 2783 9222

AUDITORS

Grant Thornton Malaysia PLT
(201906003682 & LLP0022494-LCA)
Chartered Accountants (AF 0737)
Level 11, Sheraton Imperial Court
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
Telephone : +603 2692 4022
Facsimile : +603 2732 5119

BANKERS

CIMB Bank Berhad
AmBank Islamic Berhad
United Overseas Bank (Malaysia) Berhad
HSBC Bank Malaysia Berhad
HSBC Amanah Malaysia Berhad
Hong Leong Bank Berhad

STOCK EXCHANGE LISTING

Bursa Malaysia Securities Berhad
Stock Code: UOA REIT 5110

WEBSITE

www.uoareit.com.my

INVESTOR RELATIONS

Email : uoacare@uaa.com.my
Telephone : 1 300 88 6668 (Malaysia)
+603 2245 9192 (International)

PROFILE OF DIRECTORS OF THE MANAGER

Dato' Gan Boon Khuay

Independent Non-Executive Chairman

Dato' Gan Boon Khuay, Malaysian, male, aged 69, is our Independent Non-Executive Chairman. He was appointed an Independent Non-Executive Director on 16 November 2005 and was a member of the Audit and Risk Management Committee. He resigned as a member of the Audit and Risk Management Committee and was appointed the Chairman of the Board of Directors on 20 January 2022.

He holds a Bachelor of Science (First Class Honours) Degree in Civil, Structural and Environmental Engineering from University College London, University of London, United Kingdom. He was awarded the Chadwick Medal & Prize in 1977. He has also successfully completed the East Asian Executive Leadership Course from Harvard University, Boston, United States of America. On 19 March 2012, he was conferred the IEM Honorary Member Award by the Institution of Engineers, Malaysia.

Dato' Gan Boon Khuay has over 46 years of experience in property and project management as well as property development and investment. After a 3-year stint as Property and Project Manager of Rahim & Co, Chartered Surveyors, he co-founded the Senawang Land group of companies and served on the Board initially as Project Director and for the last 34 years as Managing Director. He also holds directorships in various private limited companies.

Dato' Gan Boon Khuay was appointed Chairman of Plaza Mont' Kiara Management Corporation on 10 December 2021 until 5 December 2022. He was the Chairman of Plaza Mont' Kiara Management Corporation in October 2017 until December 2019. He was also the Chairman of Plaza Mont' Kiara Joint Management Body from January 2014 to June 2015 (until the formation of Plaza Mont' Kiara Management Corporation).

He does not have any family relationship with any Director and/or major unitholder of UOA REIT, nor any conflict of interest with the Manager, UOA Asset Management Sdn Bhd. He has no convictions for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

Kong Sze Choon

Chief Executive Officer and Non-Independent Executive Director

Kong Sze Choon, Singaporean, male, aged 46, is Chief Executive Officer and Non-Independent Executive Director. He was appointed on 14 January 2011. He is a graduate of Curtin University of Technology, Australia with a Bachelor of Commerce Degree in Finance. Mr. Kong worked in financial institutions in Singapore where he was involved in managing and growing the investment portfolio of high net worth individuals. He was part of the management team and held the position of Asset Management Manager prior to his appointment as Chief Executive Officer.

He joined UOA Holdings Group in 2002 and his initial roles in UOA Holdings Group were predominantly in leasing as well as sales and marketing of commercial and residential developments of the UOA Holdings Group. Apart from his key role in the Leasing department, he was also involved in business development of UOA Holdings Group.

He is currently Director of UOA (Singapore) Pte Ltd, a subsidiary company of the ultimate holding company of the Manager, United Overseas Australia Ltd ("UOA Ltd"). He is also the Alternate Director to Mr. Kong Chong Soon, Managing Director of UOA Development Bhd.

He is the son of Mr. Kong Chong Soon, an indirect major shareholder of UOA Asset Management Sdn Bhd ("Manager") and a major unitholder of UOA REIT via his interest in UOA Ltd Group. He does not have any conflict of interest with the Manager and has no convictions for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

Kung Beng Hong

Independent Non-Executive Director

Kung Beng Hong, Malaysian, male, aged 77, is one of our Independent Non-Executive Directors and Chairman of the Audit and Risk Management Committee. He was appointed on 28 November 2005. He is a graduate of University of Malaya majoring in Economics and a Fellow of Institute of Bankers, Malaysia. He has had an illustrious career in the banking industry over the last 53 years where he held numerous senior management posts including stints in United States of America and Singapore with Citibank where he served for 19 years. Other notable positions held include Senior General Manager of MBF Bhd (1984 – 1986), General Manager/Executive Director of United Asian Bank (1986 – 1992), Chief Executive Officer/Director of Overseas Union Bank (1992 – 2002), Managing Director/Chief Executive Officer of AmBank (M) Berhad (2002 – 2003), Group Chief Executive Officer/Director of EON Bank Group (2003 – 2004) and Non-Independent Non-Executive Director of Alliance Bank Malaysia Bhd and Chairman/Non-Executive Director of Alliance Investment Bank Bhd. He served as Adviser to Fullerton Financial Holdings Pte Ltd until his contract ended on 29 February 2020.

He also holds directorships in Asian Institute of Finance Bhd (a non-listed public company limited by guarantee), Alliance Financial Group Bhd, both of which are under Members' Voluntary Liquidation, Quill Motocars Sdn Bhd and Kytos Management Sdn Bhd.

He does not have any family relationship with any Director and/or major unitholder of UOA REIT, nor any conflict of interest with the Manager, UOA Asset Management Sdn Bhd. He has no conviction for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

Yap Kang Beng

Non-Independent Non-Executive Director

Yap Kang Beng, Malaysian, male, aged 47, was appointed Non-Independent Non-Executive Director on 18 March 2016. He was appointed as a member of the Audit & Risk Management Committee on 20 January 2022. He graduated with a Degree in Bachelor of Economics (Honours) in Accounting and Finance from University of Manchester, United Kingdom.

He joined UOA Holdings Sdn Bhd in 2010. His duties included corporate affairs and investor relations matters. He is also involved in leasing as well as sales and marketing of commercial developments of UOA Holdings Group.

He worked in the financial industry for over 13 years prior to joining UOA Holdings Group. Before he assumed the present position, he was a global investment specialist in J.P. Morgan Private Bank (Singapore). Prior to that, he also took up different roles in Treasury and Risk Management in Hong Leong Bank Berhad and Standard Chartered Bank Berhad.

He does not have any family relationship with any Director and/or major unitholder of UOA REIT, nor any conflict of interest with the Manager, UOA Asset Management Sdn Bhd. He has no convictions for any offences, and there is no sanction or penalty imposed on him by any regulatory bodies over the past 5 years.

PROFILE OF DIRECTORS OF THE MANAGER (CONTINUED)

Karn Sau Meng

Independent Non-Executive Director

Karn Sau Meng, Malaysian, female, aged 55, is one of our Independent Non-Executive Directors and a member of the Audit and Risk Management Committee. She was appointed on 23 December 2021. She completed her professional accountancy degree from the Association of Chartered Certified Accountants in 1992 and was admitted to membership in 1996. She has been and is a current member of the Malaysian Institute of Accountants since 2001. She completed her Master's in Business Administration degree with Keele University (UK) in 2001.

Her career experience included work related to auditing, accounting, inventory management, logistics, and system implementation working in various positions from Auditor, Accountant, Finance Manager and Finance and Administration Director before she set up her own consulting company, Addworth Solutions Sdn Bhd focusing on business process management, human resource management, corporate training and coaching. She is currently the principal consultant in Addworth Solutions. She was appointed Secretary and subsequently Treasurer in the Perdana Emerald Condominium Joint Management Body for 6 years from 2008 to 2014. She was re-appointed as Treasurer in August 2022 to date.

She does not have any family relationship with any Director and/or major unitholder of UOA REIT, nor any conflict of interest with the Manager, UOA Asset Management Sdn Bhd. She has no conviction for any offences, and there is no sanction or penalty imposed on her by any regulatory bodies over the past 5 years.

MANAGEMENT DISCUSSION AND ANALYSIS

OVERVIEW OF BUSINESS AND OPERATIONS, OBJECTIVES AND STRATEGIES

UOA Real Estate Investment Trust ("UOA REIT" or "Trust") is a real estate trust fund which commenced its operations on 1 December 2005 and was listed on the Main Market of Bursa Malaysia Securities Berhad on 30 December 2005.

The principal activity of UOA REIT is to invest in a diversified portfolio of real estate and real estate-related assets used, or predominantly used, for commercial purposes. Geographically, it is presently focused in Kuala Lumpur where all existing assets in the portfolio are located in.

The objective of UOA REIT and its subsidiary (the "Group") is to achieve a stable return from rental income and long term capital growth in its assets. In order to enhance the performance of the Properties in the portfolio, the Group employs active operating strategies which include optimising of rental income via management of tenancies and renewals, improving tenant retentions through relationship management, working closely with Property manager to pursue new tenancy opportunities. The Group also, where practicable, carry out asset enhancement initiatives to maintain or improve the quality and appearance of the Properties.

The Manager also seeks to enhance the unit value through selective acquisitions. Apart from seeking yield-accretive acquisitions, the acquisition strategy also takes into consideration the location, existing occupancy rate, specifications, facilities, as well as the tenant mix of the building.

Capitalising on the relationship with UOA Holdings Group of companies, one of Malaysia's leading property development, property investment, property management services and construction group of companies, the Manager expects to be at a competitive advantage and benefit towards achieving its long term acquisition objectives.

The Properties in the portfolio are intended to be held on a long term basis. Where a property has reached a phase with limited prospect for growth, selling the property can be considered.

The Manager will continue to actively manage the portfolio of properties to maximise the yield for unitholders. Meanwhile, the Manager will continue to source for opportune acquisitions that meet the objectives of UOA REIT.

Guided by the gearing limits stipulated in the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"), the Manager aims to optimise the Group's capital structure and cost of capital.

INVESTMENT STRATEGIES

During the financial year, the Manager continued to adopt the following strategies in achieving the Group's investment objective:

Operating strategy

The Group's operating strategy is to continue to enhance the performance of the properties by increasing yields and returns from the properties through a combination of retaining existing tenants, reducing vacancy levels, adding and/or optimising retail/office space at the properties and minimising interruptions in rental income and operational costs.

The Manager expects to apply the following key operating and management principles:

- (a) to optimise rental rates via active management of tenancies, renewals and new tenancies;
- (b) maintaining a close relationship with tenants to optimise tenant retentions;
- (c) actively working with the property manager to pursue new tenancy opportunities;
- (d) to optimise tenant mix and space configuration;
- (e) continuous review of tenant mix and if practicable, reconfigure lettable space; and
- (f) continually maintain the quality of the properties.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

INVESTMENT STRATEGIES (continued)

Acquisition strategy

The Manager seeks to increase cash flow and enhance unit value through selective acquisitions. The acquisition strategy takes into consideration:

- (a) location;
- (b) occupancy and tenant mix;
- (c) building and facilities specifications;
- (d) opportunities; and
- (e) yield thresholds.

The Manager has access to a network of and good relationships with leading participants in the real estate industry which may assist the Group in identifying (a) acquisition opportunities that have favourable returns on invested capital and growth in cash flow; and (b) under-performing assets. The Manager believes that these deal-sourcing capabilities are an important competitive advantage of the Group.

The Manager intends to capitalise on the relationship with UOA Holdings Group of companies, which is one of Malaysia's leading property development, property investment, property management services and construction group of companies. This relationship is expected to accord the Group competitive advantages and benefits towards achieving its long-term objectives.

The Manager intends to hold the properties on a long-term basis. In the future where the Manager considers that any property has reached a stage that offers only limited scope for growth, they may consider selling the property and using the proceeds from the sale for alternative investments in properties that meet its investment criteria.

Capital management strategy

The Manager aims to optimise the Group's capital structure and cost of capital within the borrowing limits prescribed by the REIT Guidelines and intends to use a combination of debt and equity funding for future acquisitions and improvement works at the properties. Our capital management strategies involve:

- (a) adopting and maintaining an optimal gearing level; and
- (b) adopting an active interest rate management strategy to manage risks associated with changes in interest rates.

while maintaining flexibility in the Group's capital structure to meet future investment and/or capital requirements.

INVESTMENT POLICIES

Portfolio composition

The Group's investments may be allocated in the following manner, as prescribed by the REIT Guidelines:

- (a) to invest in real estate, single-purpose companies whose principal assets comprise real estate, real estate-related assets, non-real estate-related assets or liquid assets;
- (b) at least 75% of the Group's total assets must be invested in real estate or single purpose companies whose principal assets comprise real estate, at all times; and
- (c) not more than 25% of the Group's total assets may be invested in non-real estate-related assets and/or liquid assets.

Diversification

The Group will seek to diversify its real estate portfolio by property and location type. The Group will focus on investing in properties that are primarily used for office, retail and/or residential purposes and will continue to look for opportunities in these types of properties. In addition, it may also look into other properties that will provide attractive risk-adjusted returns.

INVESTMENT POLICIES (continued)

Leverage

The Group will be able to leverage on its borrowings to make the permitted investments. Leveraging on its borrowings will increase the returns to unitholders. The Group is permitted to procure borrowings of up to 50% of its total asset value.

DISTRIBUTION POLICY

At least 90% of the distributable income of the Trust will be distributed semi-annually or at such other intervals as determined by the Manager, in arrears.

COMPOSITION OF INVESTMENT PORTFOLIO

The Group's investment properties value is RM1,716 million as at 31 December 2022 compared to RM1,716 million as at 31 December 2021. There were no new acquisitions or disposals during the financial year and the total number of properties in the portfolio remains at six (6).

Whilst a full valuation has not been conducted, the Group had undertaken an update valuations exercise for all existing investment properties. The updated market value of the investment properties as at 31 December 2022 were valued at RM1,716,200,000 by independent registered valuers ("Valuer"). In arriving at the updated market value, the Valuer has applied the comparison and income method to assess the market value of the investment properties as at the reporting date. The existing carrying amount of the investment properties as at 31 December 2022 was not materially different from the updated valuations performed.

In view of the above and taking into account current market conditions, the Directors of the Manager assessed that the carrying amount is fair. Hence, the carrying amount was not adjusted and was taken to represent the fair value of the investment properties.

As at 31 December 2022, the Group's composition of investment portfolio was as follows:

	RM	%
<u>Real estate properties</u>		
UOA Centre Parcels	78,000,000	4.53
UOA II Parcels	281,000,000	16.34
UOA Damansara Parcels	114,900,000	6.68
Wisma UOA Damansara II	224,356,000	13.04
Parcel B – Menara UOA Bangsar	300,000,000	17.44
UOA Corporate Tower	718,000,000	41.74
<u>Liquid assets</u>		
Deposits with licensed financial institutions	1,200,000	0.07
Bank balances	2,712,804	0.16
	1,720,168,804	100.00

MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

COMPOSITION OF INVESTMENT PORTFOLIO

The details of the real estate properties as at 31 December 2022 are as follows:

UOA Centre Parcels

Address/ Location	Within UOA Centre at No. 19, Jalan Pinang, 50450 Kuala Lumpur
Description	Parcels within the thirty-three (33) storey office building known as UOA Centre inclusive of six (6) levels of car park space
Title details	Twenty-eight (28) strata titles within UOA Centre identified as Bangunan M1, held under Master Title Geran 46212, Lot No. 1312, Section 57, Town and District of Kuala Lumpur, State of Wilayah Persekutuan KL
Property type	Office parcels
Net lettable area	124,009 sq.ft.
Age	Approximately 28 years
Existing use	Commercial
Status of holding	Freehold
Major tenants (based on monthly rental receivable)	(a) Halim Hong & Quek (b) Bank Kerjasama Rakyat Malaysia Bhd (c) AWP Services Sdn Bhd
Occupancy rate (based on secured tenancies)	75.2%
Rental received/ receivable	RM5,580,629
Maintenance costs and capital expenditure	Maintenance costs amount to RM1,782,697. No capital expenditure incurred during the financial year



Encumbrances	None
Date of acquisition	29 November 2005
Cost of acquisition	RM55,981,272
Last valuation	RM78,000,000
Date of last valuation	31 December 2022
Basis of valuation	Comparison and Income Approach
Independent valuer	PA International Property Consultants (KL) Sdn Bhd
Net carrying amount	RM78,000,000

COMPOSITION OF INVESTMENT PORTFOLIO (continued)

The details of the real estate properties as at 31 December 2022 are as follows (continued) :

UOA II Parcels

Address/ Location	Within UOA II at No. 21, Jalan Pinang, 50450 Kuala Lumpur
Description	Parcels within the thirty-nine (39) storey office building known as UOA II inclusive of five (5) levels of car park space
Title details	Sixty-eight (68) strata titles within UOA II identified as Bangunan M2, held under Master Title Geran 46212, Lot No. 1312, Section 57, Town and District of Kuala Lumpur, State of Wilayah Persekutuan KL
Property type	Office parcels
Net lettable area	427,015 sq.ft.
Age	Approximately 24 years
Existing use	Commercial
Status of holding	Freehold
Major tenants (based on monthly rental receivable)	(a) Envico Enterprises Sdn Bhd (b) United Carparks Sdn Bhd (c) UOA Komune Sdn Bhd
Occupancy rate (based on secured tenancies)	70.4%
Rental received/receivable	RM16,873,062
Maintenance costs and capital expenditure	Maintenance costs amount to RM4,506,993. No capital expenditure incurred during the financial year



Encumbrances	Charged to a financial institution as security for revolving credit facilities
Date of acquisition	29 November 2005 (Excluding Level 17, UOA II) 22 March 2010 (Level 17, UOA II)
Cost of acquisition	RM194,502,300
Last valuation	RM281,000,000
Date of last valuation	31 December 2022
Basis of valuation	Comparison and Income Approach
Independent valuer	PA International Property Consultants (KL) Sdn Bhd
Net carrying amount	RM281,000,000

MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

COMPOSITION OF INVESTMENT PORTFOLIO (continued)

The details of the real estate properties as at 31 December 2022 are as follows (continued) :

UOA Damansara Parcels

Address/ Location	Within UOA Damansara at No. 50, Jalan Dungun, Damansara Heights, 50490 Kuala Lumpur
Description	Parcels within the thirteen (13) storey office building known as UOA Damansara inclusive of four (4) levels of basement car park space
Title details	Thirty (30) strata titles within UOA Damansara identified as Bangunan M1, held under Master Title Geran 67371, Lot No. 55917, Mukim and District of Kuala Lumpur, State of Wilayah Persekutuan KL
Property type	Office parcels
Net lettable area	186,395 sq.ft
Age	Approximately 25 years
Existing use	Commercial
Status of holding	Freehold
Major tenants (based on monthly rental receivable)	(a) Skrine (b) United Carparks Sdn Bhd (c) International Committee of the Red Cross
Occupancy rate (based secured tenancies)	73.2%
Rental received/ receivable	RM8,068,685
Maintenance costs and capital expenditure	Maintenance costs amount to RM2,854,501. No capital expenditure incurred during the financial year



Encumbrances	Charged to a financial institution as security for revolving credit facilities
Date of acquisition	29 November 2005
Cost of acquisition	RM72,000,000
Last valuation	RM114,900,000
Date of last valuation	31 December 2022
Basis of valuation	Comparison and Income Approach
Independent valuer	PA International Property Consultants (KL) Sdn Bhd
Net carrying amount	RM114,900,000

COMPOSITION OF INVESTMENT PORTFOLIO (continued)

The details of the real estate properties as at 31 December 2022 are as follows (continued) :

Wisma UOA Damansara II

Address/ Location	No. 6, Changkat Semantan, Damansara Heights, 50490 Kuala Lumpur
Description	A sixteen (16) storey office building with 3 levels of elevated car park space and 5 levels of basement car park space
Title details	Geran 6837, Lot No. 38415, Mukim and District of Kuala Lumpur, State of Wilayah Persekutuan KL
Property type	Commercial building
Net lettable area	291,133 sq.ft.
Age	Approximately 15 years
Existing use	Commercial
Status of holding	Freehold
Major tenants (based on monthly rental receivable)	(a) Radimax Group Sdn Bhd (b) United Carparks Sdn Bhd (c) Synthomer Sdn Bhd
Occupancy rate (based secured tenancies)	76.6%
Rental received/ receivable	RM14,339,983
Maintenance costs and capital expenditure	Maintenance costs amount to RM3,176,566. No capital expenditure incurred during the financial year
Encumbrances	Charged to a financial institution as security for revolving credit facilities



Date of acquisition	17 January 2011
Cost of acquisition	RM211,000,000
Last valuation	RM224,300,000
Date of last valuation	31 December 2022
Basis of valuation	Comparison and Income Approach
Independent valuer	PA International Property Consultants (KL) Sdn Bhd
Net carrying amount	RM224,356,000

MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

COMPOSITION OF INVESTMENT PORTFOLIO (continued)

The details of the real estate properties as at 31 December 2022 are as follows (continued) :

Parcel B – Menara UOA Bangsar

Address/ Location Within Menara UOA Bangsar No. 5, Jalan Bangsar Utama 1, 59000 Kuala Lumpur

Description A tower block, namely Tower B comprising fifteen (15) levels of office space, three (3) levels of retail podium, six (6) levels of elevated car park space and four (4) levels of basement car park space (which form part of a development known as Menara UOA Bangsar)

Title details Thirteen (13) strata titles within Menara UOA Bangsar, identified as Bangunan M1 and M1-A, held under Master Title Pajakan Negeri (WP) 43411, Lot No. 421, Section 96, Town and District of Kuala Lumpur, State of Wilayah Persekutuan KL

Property type Commercial building

Net lettable area 314,920 sq.ft.

Age Approximately 14 years

Existing use Commercial

Status of holding 99 years leasehold expiring in 2106 (unexpired term of approximately 84 years)

Major tenants (based on monthly rental receivable) (a) Perbadanan Harta Intelek Malaysia
(b) Prasarana Malaysia Berhad
(c) United Carparks Sdn Bhd

Occupancy rate (based on secured tenancies) 93.2%

Rental received/receivable RM23,073,515



Maintenance costs and capital expenditure Maintenance costs amount to RM5,493,510. No capital expenditure incurred during the financial year

Encumbrances Charged to a financial institution as security for revolving credit facilities (There are no encumbrances on Petak 9 and 14)

Date of acquisition 17 January 2011

Cost of acquisition RM287,760,483

Last valuation RM300,000,000

Date of last valuation 31 December 2022

Basis of valuation Comparison and Income Approach

Independent valuer PA International Property Consultants (KL) Sdn Bhd

Net carrying amount RM300,000,000

COMPOSITION OF INVESTMENT PORTFOLIO (continued)

The details of the real estate properties as at 31 December 2022 are as follows (continued) :

UOA Corporate Tower

Address/ Location	UOA Corporate Tower, Avenue 10, The Vertical, Bangsar South City, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur
Description	A stratified 38-storey office building with a penthouse level known as UOA Corporate Tower
Title details	Provisional parcel property identified as Vertical 38 Block A, erected on a portion of land held under Master Title No. Pajakan Negeri 46338, Lot 58190, Mukim and District of Kuala Lumpur, State of Wilayah Persekutuan Kuala Lumpur
Property type	Commercial building
Net lettable area	732,217 sq.ft.
Age	Approximately 6 years
Existing use	Commercial
Status of holding	99 years leasehold expiring in 2106 (unexpired term of approximately 84 years)
Major tenants (based on monthly rental receivable)	(a) Honeywell International Sdn Bhd (b) UOA Group of Companies (c) Swift Support Services Malaysia Sdn Bhd
Occupancy rate (based secured tenancies)	93.0%
Rental received/ receivable	RM46,441,291
Maintenance costs and capital expenditure	Maintenance costs amount to RM5,797,213. No capital expenditure incurred during the financial year



Encumbrances	Charged to a financial institution as security for revolving credit facilities
Date of acquisition	30 December 2020
Cost of acquisition	RM701,653,564
Last valuation	RM718,000,000
Date of last valuation	31 December 2022
Basis of valuation	Comparison and Income Approach
Independent valuer	PA International Property Consultants (KL) Sdn Bhd
Net carrying amount	RM718,000,000

MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

FINANCIAL HIGHLIGHTS

	Year ended 31 December 2022	Year ended 31 December 2021	Year ended 31 December 2020	Year ended 31 December 2019	Year ended 31 December 2018
Total gross income (RM)	114,802,288	116,883,577	72,692,689	79,032,011	78,585,653
Income before tax (RM)	60,980,844	40,042,561	38,435,875	40,986,917	57,649,915
Income/(Loss) after tax (RM)					
- Realised	61,075,415	61,796,178	36,719,912	39,540,726	35,004,263
Unrealised	(202,745)	(19,693,063)	(1,969,037)	(19,704,539)	22,532,509
Total	60,872,670	42,103,115	34,750,875	19,836,187	57,536,772
Earnings/(Loss) per unit (sen)					
- Realised	9.04	9.15	8.63	9.35	8.28
Unrealised	(0.03)	(2.91)	(0.47)	(4.66)	5.33
Total	9.01	6.23	8.16	4.69	13.61
Distribution per unit (sen)	8.62	8.64	8.44	9.11	9.13
Total asset value (RM)	1,729,099,819	1,732,705,917	1,763,839,508	1,046,825,669	1,049,495,779
Net asset value (RM)	966,475,620	963,839,588	980,298,696	706,554,728	725,242,159
Net asset value per unit (RM)	1.431	1.427	1.451	1.671	1.715
Highest net asset value per unit (RM)	1.480	1.506	1.721	1.719	1.727
Lowest net asset value per unit (RM)	1.443	1.460	1.451	1.671	1.671
Market price per unit (RM)	1.15	1.15	1.13	1.23	1.31
Highest traded price for the financial year (RM)	1.19	1.16	1.29	1.46	1.64
Lowest traded price for the financial year (RM)	1.10	1.08	1.07	1.20	1.29
Distribution yield	7.50%	7.51%	7.47%	7.41%	6.97%
Annual total returns (RM) ⁽¹⁾	61,075,415	61,796,178	36,719,912	39,540,726	35,004,263
Average total returns ⁽²⁾					
- for one year	8.14%	8.23%	4.89%	8.31%	7.35%
- for three years	7.09%	7.14%	6.85%	7.88%	8.28%
- for five years	7.38%	7.35%	7.61%	8.62%	8.96%

⁽¹⁾ Annual total returns are defined as realised income after tax

⁽²⁾ Average total returns are calculated based on annual total returns for the respective financial years divided by unitholders' capital for the respective financial years

Note: Past performance is not necessarily indicative of future performance. Unit prices and investment returns may fluctuate in line with economic conditions and subsequent trust performance.

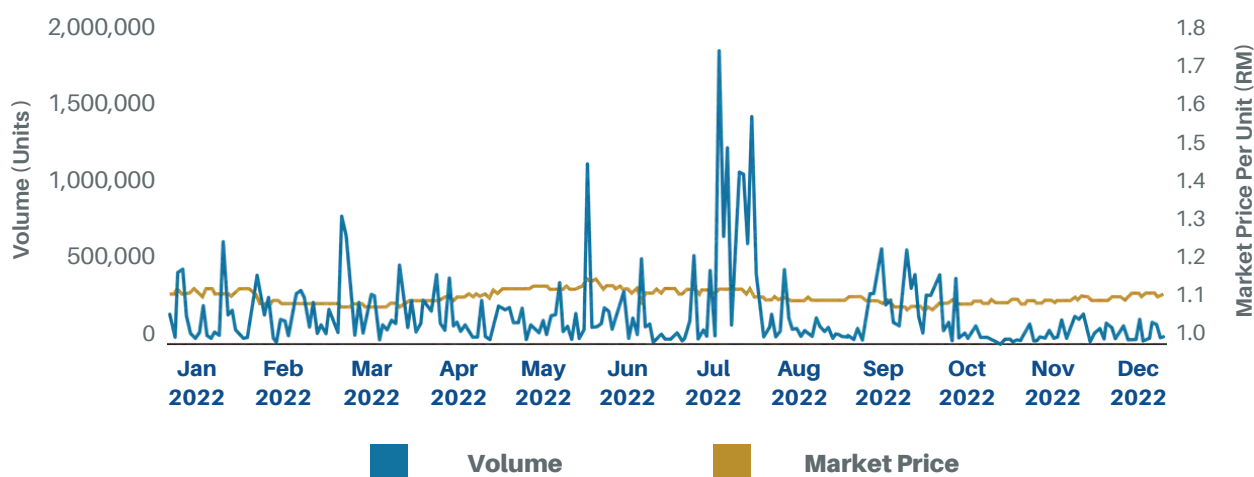
FINANCIAL HIGHLIGHTS (continued)



Total Asset Value and Net Asset Value (RM'000)



Trading Performance and Market Price Per Unit



MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

REVIEW OF FINANCIAL RESULTS

1) Overall Financial Results

	As at 31 December 2022 RM'000	As at 31 December 2021 RM'000	As at 31 December 2020 RM'000	As at 31 December 2019 RM'000	As at 31 December 2018 RM'000
Total gross income	114,802	116,884	72,693	79,032	78,586
Property operating expenses	26,127	26,715	20,456	20,756	20,944
Non-property expenses	7,851	9,470	6,650	5,671	6,690
Finance costs	19,748	18,872	8,867	11,770	15,837
Income before tax, fair value gain on investment properties and net changes on financial liabilities measured at amortised cost	61,076	61,827	36,720	40,835	35,115
Fair value (loss)/gain on investment properties	-	(21,900)	1,756	-	22,570
Net changes on financial liabilities measured at amortised cost	(95)	115	(40)	152	(35)
Income before tax	60,981	40,042	38,436	40,987	57,650
Tax (expense)/income	(108)	2,061	(3,685)	(21,151)	(113)
Income after tax	60,873	42,103	34,751	19,836	57,537

The summary of our gross rental, property operating expenses and net rental income for each property in the property portfolio for the financial year ended 31 December 2022 is detailed below:

Property	Gross Rental RM'000	Property Operating Expenses RM'000	Net Rental Income RM'000
UOA Centre Parcels	5,581	1,783	3,798
UOA II Parcels	16,873	4,507	12,366
UOA Damansara Parcels	8,069	2,855	5,214
Wisma UOA Damansara II	14,340	3,177	11,163
Parcel B – Menara UOA Bangsar	23,074	5,494	17,580
UOA Corporate Tower	46,441	5,797	40,644
Total	114,378	23,613	90,765

Gross rental

The Group's total gross income for the financial year ended 31 December 2022 comprises rental income of RM114.4 million (2021: RM116.4 million), interest income of RM78.4 thousand (2021: RM112.7 thousand) and other income of RM346.8 thousand (2021: RM417.0 thousand). The decrease was mainly due to the decline in rental contribution from Wisma UOA II and Wisma UOA Damansara II as a result of lower occupancies.

REVIEW OF FINANCIAL RESULTS (continued)

1) Overall Financial Results (continued)

Property operating expenses

The property operating expenses incurred during the financial year decreased by 2.2% to RM26.1 million compared to RM26.7 million in the previous financial year. The decrease is mainly due to the lesser maintenance work done compared to the previous year, as well as lower electricity costs.

Non-property operating expenses

Property	As at 31 December 2022 RM'000	As at 31 December 2021 RM'000	Changes	
			RM'000	%
Manager's fees	6,624	6,709	(85)	(1.27)
Trustee's fee	297	300	(3)	(1.00)
Auditors' remuneration	65	49	16	32.65
Tax agent's fees	25	26	(1)	(3.85)
Valuation fees	45	45	-	-
Administration expenses	288	181	107	59.12
Impairment losses of financial assets	507	2,160	(1,653)	(76.53)
Total	7,851	9,470	(1,619)	(17.10)

Total non-property operating expenses decreased to RM7.9 million from RM9.5 million in previous financial year. This was mainly due to the lower of impairment losses of financial asset.

Finance costs

Finance costs increased by RM876 thousand or 4.64% compared to previous financial year 2021. The increase was mainly due to higher costs of funding arising from the hikes in the policy interest rate.

Income before tax

For the financial year ended 31 December 2022, the Group reported an income before tax of RM61.0 million (2021: RM40.0 million), an increase of 52.3% from the previous financial year. This was due to the fair value loss on investment properties of RM21.9 million recorded in previous financial year.

Realised net income

The Group realised net income decreased 1.17% from RM61.8 million to RM61.1 million compared to the previous financial year. Realised net income per unit decreased from 9.15 sen per unit to 9.04 sen per unit.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

REVIEW OF FINANCIAL RESULTS (continued)

2) Income Distribution

The Trust had on 30 August 2022 paid an interim distribution of 4.30 sen per unit totaling RM29.1 million for the six months ended 30 June 2022.

The Manager had on 19 January 2023, recommended to the Trustee, and the Trustee had on the same day, approved the final income distribution of 4.32 sen per unit totaling RM29.2 million for the financial year ended 31 December 2022 to be paid by 28 February 2023 ("Final Distribution"). The Final Distribution comprises taxable income of 4.32 sen per unit.

The distribution per unit for the financial year ended 31 December 2022 is 8.62 sen per unit, a decrease of 0.23% or 0.02 sen per unit as compared to the previous financial year of 8.64 sen per unit. Based on the closing price of RM1.15 on 31 December 2022 (2021: RM1.15), the distribution per unit translated to a distribution yield of 7.50% (2021: 7.51%).

An analysis of the Trust's income distribution is as follows:

	As at 31 December 2022	As at 31 December 2021	As at 31 December 2020	As at 31 December 2019	As at 31 December 2018
Distribution per unit (sen)					
- interim	4.30	4.32	3.98	4.24	4.04
- final	4.32	4.32	4.46	4.87	5.09
- total	8.62	8.64	8.44	9.11	9.13
Distribution payment date					
- interim	30/08/2022	30/08/2021	28/8/2020	30/8/2019	30/8/2018
- final	28/02/2023	28/02/2022	22/1/2021	28/2/2020	28/2/2019
Distribution yield based on issued price of RM1.15 per unit (%)					
	7.50	7.51	7.34	7.92	7.94
Distribution yield based on market price at 31 December (%)					
	7.50	7.51	7.47	7.41	6.97
Market price as at 31 December (RM)					
	1.15	1.15	1.13	1.23	1.31

3) Total Financing

As at 31 December 2022, the Group has total borrowings of RM675.4 million (2021: RM683.2 million). Approximately 62.48% (2021: 61.77%) of the Group's financing was maintained at a fixed interest rate. The floating rate bank borrowings are in the form of revolving credits and are short term in nature renewable on a one (1) to six (6) months term at interest/profit rates as disclosed in Note 14 to the Financial Statements.

REVIEW OF FINANCIAL RESULTS (continued)

3) Total Financing (continued)

The ratio of total bank borrowings to total asset value decreased from 39.4% to 39.1%. Pursuant to the REIT Guidelines, the permitted limit on gearing ratio of real estate investment trusts is 50%. Total credit facilities available to the Group amounted to RM856.8 million and there are unutilised facilities of RM181.4 million as at the end of the financial year. As at 31 December 2022, taking into consideration of the unutilised facilities, the Group has the capacity to secure a further RM7.75 million of credit facility before reaching the 50% limit permitted under the REIT Guidelines.

4) Units In Issue

	As at 31 December 2022	As at 31 December 2021	As at 31 December 2020	As at 31 December 2019	As at 31 December 2018
Number of units in issue	675,599,076	675,599,076	675,599,076	422,871,776	422,871,776

5) Net Asset Value ("NAV") Of The Group

	As at 31 December 2022	As at 31 December 2021	As at 31 December 2020	As at 31 December 2019	As at 31 December 2018
NAV* (RM'000)	966,476	963,840	980,299	706,555	725,242
NAV per unit					
- before distribution (RM)	1.474	1.470	1.479	1.720	1.766
- after distribution (RM) *	1.431	1.427	1.451	1.671	1.715

NAV per unit is posted on Bursa Malaysia's website on a quarterly basis.

* NAV and NAV per unit after reflecting final distribution of 4.32 sen per unit totaling RM29.2 million declared on 19 January 2023 and payable on 28 February 2023.

As at 31 December 2022, the Group's NAV after distribution has increased from 1.427 to 1.431. The increase is mainly due to lower loan balance as at financial year 31 December 2022.

Based on the group's closing unit price of RM1.15, the REIT is trading at approximately 20% below its NAV.

6) Cash Flow

As at 31 December 2022, the Group has cash and bank balances of RM2.7 million (2021: RM5.7 million) and deposits with licensed financial institution of RM1.2 million (2021: RM1.5 million).

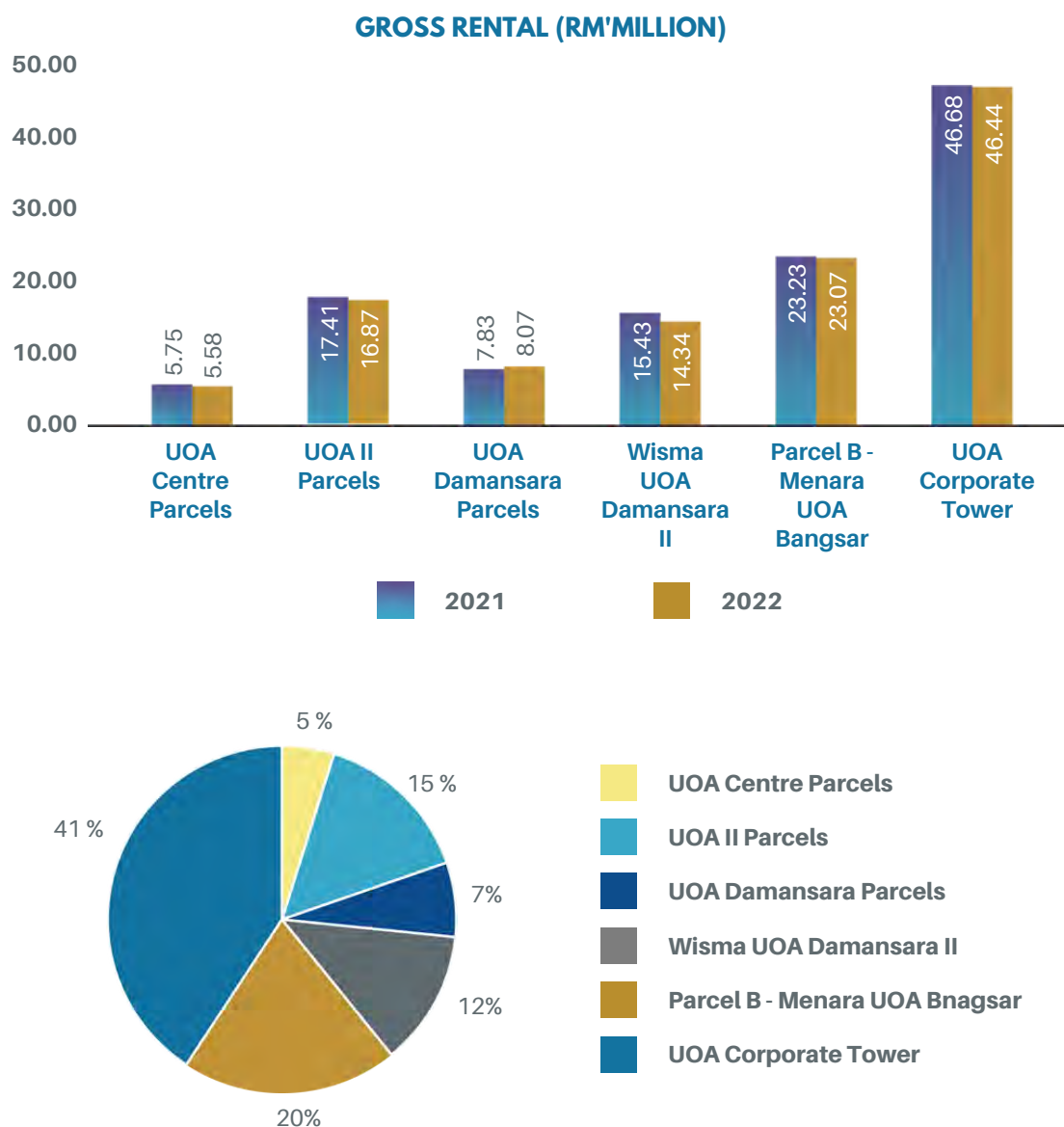
Based on the Statement of Cash Flows for the financial year ended 31 December 2022, the Group generated net cash from operating activities of RM83.1 million (before the payment of interest expenses of RM19.7 million), utilised cash for investing activities amounting to RM609 thousand, and utilised cash for financing activities amounting to RM85.7 million mainly for distribution to unitholders and payment of interest expenses.

On a net basis, the Group has a net decrease of cash and cash equivalent of RM3.2 million for the financial year ended 31 December 2022, which the cash and cash equivalent decrease to RM3.9 million as at 31 December 2022.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

REVIEW OF OPERATING ACTIVITIES

1) Rental Income



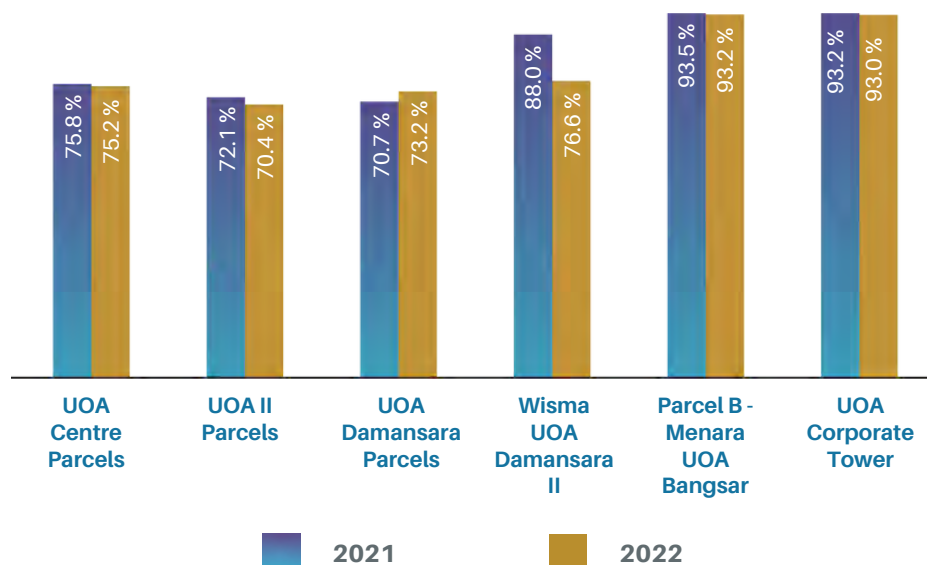
In the financial year ended 2022, UOA Corporate Tower was the highest income generating Property, amongst the portfolio of assets, followed by Parcel B - Menara UOA Bangsar and UOA II Parcels. These three assets collectively made up approximately 76% of the total gross income rental for the financial year.

Compared to the preceding financial year, the gross rental income for UOA Damansara Parcels saw a slight improvement whereas the rest of the assets declined marginally. The overall decline in gross rental income, was mainly due to the lower occupancy rate as a result of the departure of multiple tenants upon expiry of tenancy.

REVIEW OF OPERATING ACTIVITIES (continued)

2) Occupancy Rates

OCCUPANCY RATES OF PROPERTIES IN THE PORTFOLIO



Including all secured tenancies, there was a decline in the occupancy rates of the Properties in the portfolio with the exception of UOA Damansara Parcels, giving an average occupancy rate of close to 80% as at 31 December 2022.

In the financial year 2022, the departure of multiple tenants upon the expiry of tenancy saw an overall decline in the occupancy rates of the Properties in the portfolio. The most notable drop in the occupancy rate was in Wisma UOA Damansara II (-11.4%), mainly due to several sizeable tenants who terminated their tenancy upon expiry.

The weighted average lease expiry ("WALE") of the portfolio, including all secured tenancies, as at 31 December 2022 stood at approximately 1.08 years (31 December 2021: 1.33 years). The WALE is within expectation as all rental of Properties in the portfolio are typically executed via tenancy agreement with tenure ranging from 1 year to 3 years. Hence, the Manager actively monitors all tenancy expiries to optimise renewal.

3) Asset Enhancement Initiatives

Asset enhancement initiatives ("AEI") continue to play an integral part of UOA REIT's operating strategies. It is essential to consistently assess the need for an upgrade in order to ensure that the Properties in our portfolio remain competitive.

During the financial year 2022, the Group has commenced the refurbishment and upgrading of the food court located in UOA II Parcels and this initiative is targeted to be completed in the financial year 2023.

As part of the efforts to enhance the Properties in our portfolio in order to improve the rental income, the Group has also completed the renovation and refurbishment works for some of the vacant and partly fitted units within UOA Centre Parcels and UOA Damansara Parcels.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTINUED)

RISK MANAGEMENT

The Manager recognises that it has the responsibility to manage risk effectively to safeguard the Trust from potential losses, damages or failures arising from actions or events that may have a potential adverse impact on achieving its goals and objectives. The Board of the Manager has established a sound risk management framework which is currently being adopted by the Manager that aims to continuously identify, evaluate, monitor and migrate risks that will potentially affect the Trust.

1) Interest Rate Risk

As at 31 December 2022, the Trust's gearing was at 39.1%. The borrowings are exposed to the risk of interest rate fluctuation. Any hike in interest rate will result in higher interest cost and will reduce the net income of the Trust. In contrast, low interest rates will benefit the Trust.

The Manager closely monitors the interest rate environment and hedge the interest rate risk exposure accordingly. More than 60% of the Trust's current debts are in fixed rate loans which the Manager viewed as adequately hedged against any potential interest rate hike in the near future.

2) Capital and Liquidity Risk

Capital and liquidity risk is associated with the ability of the Group to access cash or capital at any given time to prevent insufficient liquidity to meet its business needs and financial obligations, including paying of income distributions, interests and loan repayments.

The Group adopts an active capital management strategy that is within the threshold as stipulated in the REIT Guidelines. The Group keeps an adequate credit facility available for all planned as well as unexpected cash requirements. In this financial year, the gearing ratio dropped marginally to approximately 39.1% (31 December 2021: 39.4%) with an available credit facility of RM181.4 million ready to be utilised.

3) Credit Risk

Credit risk is the risk of a tenant or counterparty unable to meet their contractual obligations. Poor collections also give rise to cash flows issue.

To mitigate the Group's credit risk exposure, the Manager maintains a policy of collecting security deposits from all tenants which will secure default by the tenants. The Manager also performs thorough on-boarding due diligence to assess the tenants' ability to meet the rental obligations prior to offering tenancies.

The Manager has implemented effective credit control measures such as close follow-up on rental arrears with tenants and the charging of late payment interest to deter late payment of rental. The Manager also maintains good tenant relations to increase timely rental collections.

4) Regulatory/Compliance Risk

The Group is required to comply with applicable legislation, regulations and guidelines including the Capital Markets and Services Act 2007, the Main Market Listing Requirements of Bursa Securities, the Listed REIT Guidelines, and tax legislation and regulations, where failure to do so may result in fines, penalties or other remedies available to the regulatory authorities.

Any such compliance failures may impact the Group's financial performance or reputation, whilst amendments to existing requirements or introduction of new requirements may also increase compliance costs. The Manager addresses these risks via its governance and internal control frameworks to monitor and ensure compliance, further details of which can be found in the Statement of Corporate Governance in this Annual Report.

RISK MANAGEMENT (continued)

5) Acquisition and Investment Risk

Acquisition and investment risks refer to imperil of assets / investments not being yield accretive, affecting the overall performance of the Group.

The Manager will remain selective and manages such risks by evaluating potential acquisitions against approved investment criteria. The Due Diligence Committee was established to evaluates all proposed acquisition from financial, legal and technical aspects. There were no acquisitions and divestment of real estate during the financial year.

OFFICE SECTOR REVIEW

The financial year 2022 continued to be a challenging year for most of the sectors recovering from the COVID-19 pandemic, facing inflationary pressure and labour shortage. The Malaysian office property is no exception amidst the challenging market conditions. Although the market has not returned to pre-pandemic levels, the office sector rental is beginning to experience some stability.

According to Knight Frank Malaysia, the overall occupancy rate of purpose-built office space in KL City improved slightly to record at 67.5% during 2H2022 (1H2022: 67.2%). However, the occupational demand in KL Fringe was lower but remained resilient at 86.1% (1H2022: 86.8%). The Klang Valley office sector remains tenant-driven with landlords focusing on retaining tenants through cost-optimization, asset upgrading and leasing incentives.

The average rental rate of office space in KL City experienced downward pressure. The lack of catalyst to boost office demand coupled with the fundamental shift in the way people work post COVID-19 sees supply outpacing demand. In KL Fringe, however, the average office rent remained relatively stable, driven by a wider pool of tenants / occupiers and high-quality decentralised offices, particularly in areas with ease of accessibility and adequate transportation links. (Source: Knight Frank Malaysia, Real Estate Highlights 2nd Half of 2022)

Nevertheless, the landlords are still facing challenges in maintaining rental rates given the rising vacancy rates, more supply of new offices and the costs of doing business despite the improvement in economic activities in the financial year 2022. The overall uncertain market conditions, increase in interest rate and inflationary pressure continue to be risks on economic recovery and may further dampen the market confidence.

MOVING FORWARD

Market sentiment remains soft given the challenging market conditions such as rising inflationary pressure, interest rate and electricity tariff hike as well as potential global recession. The overall economic uncertainty continues to weigh on the office rental market. The Manager expects a slow, gradual improvement in rental activities and business sentiments amid economic recovery as it takes time for the consumer confidence to be restored to pre-pandemic levels.

The Manager will continue to actively market the vacant space in the Properties and identify potential enhancement initiatives. Meanwhile, the Manager will also maintain its active capital management strategy and continue to explore potential yield-accretive acquisitions that meets the objectives of UOA REIT.

SUSTAINABILITY STATEMENT

INTRODUCTION

UOA Real Estate Investment Trust ("UOA REIT") is a Malaysia-based unit trust established with the objective to own and invest in real estate and real estate-related assets used, or predominantly used, for commercial purposes, whether directly or indirectly through the ownership of single-purpose companies who wholly own real estate.

UOA REIT, together with the UOA Group of companies ("UOA"), is committed to creating a positive and enduring social impact through our sustainability initiatives that support our business, the environment and the communities in which we operate. Our approach to sustainability is defined by UOA's corporate philosophy of building excellence with a definitive focus on the areas of education, environment and community activities.

The scope of the report covers the economic, environment and social performance of UOA REIT's properties in Malaysia from 1 January 2022 to 31 December 2022 ("FYE2022"), with 1 January 2021 to 31 December 2021 ("FYE2021") being the year of comparison, where applicable. In view that the Trust does not have any employees, information reported in relation to employees are referred to the employees of the Manager. The Manager will continue reporting its sustainability performance on an annual basis.

SUSTAINABILITY GOVERNANCE STRUCTURE

UOA REIT's sustainability strategy is overseen by the Board based on the following governance structure:



The Risk Management & Sustainability Committee ("RMC"), chaired by the CEO, is responsible for the formulation of sustainability policies and implementation of sustainability initiatives while the financial and day-to-day business operations will be undertaken by the accountant and property manager respectively.

STAKEHOLDER ENGAGEMENT

The table below illustrates UOA REIT's outreach efforts to its various stakeholder groups.

STAKEHOLDER	ENGAGEMENT CHANNEL	FREQUENCY
Trustees	- Annual General Meeting - Investor relation events	Yearly On-going
Tenants	- UOA newsletter - Tenants and office building management committee meetings	Yearly On-going
Unitholders	- Annual General Meeting - Interim financial reports - Unitholders' meeting - Corporate announcements - UOA newsletter	Yearly Quarterly On-going On-going Yearly
Employees	- Recruitment, training and development programmes - Staff appraisal - Long service award - Internship programme	On-going Yearly Yearly On-going
Investors/Fund Providers	- Analyst briefings - Regular meetings with analysts, fund managers and other investors	On-going On-going
Regulatory Authorities	- Regular meetings with relevant authorities - Attending talks and conferences organised by regulators	On-going On-going
Industry Peers	- Conferences - Annual reports - Membership associations	On-going Annually Quarterly
Local Communities	- Community engagement programmes - Collaborations with NGOs - Donations and financial aid	On-going On-going On-going
Media	- Press releases - Regular updates and engagement sessions	On-going On-going

MATERIAL ANALYSIS

In determining sustainability priorities, UOA REIT continues to reach out to its stakeholders with the purpose to identify and address key sustainability issues which reflect significant economic, environmental and social impact on our business. It is essential for gaining a better understanding of the sustainability aspects that are important to UOA REIT as we strive to align them in our efforts to improve business practices, reduce environmental impact and enhance livelihoods.

SUSTAINABILITY STATEMENT (CONTINUED)

MATERIAL ISSUES

ECONOMIC

Financial Sustainability

Our commitment to business excellence is underpinned by an unwavering focus on strong corporate governance and prudent financial management in the face of a challenging market environment. As such, we will continue our focus on the following areas:

- provision of regular and stable income distributions to Unitholders
- ensure long-term growth in terms of Net Asset Value ("NAV")
- improve the occupancy rates
- continue to explore opportunities for potential yield accretive acquisitions

UOA REIT owns a portfolio of 6 properties strategically located in Malaysia and receives rental income from the operation of these properties. These properties generated revenue of RM114.4 million and net realised income of RM61.1 million in the financial year ended 31 December 2022. Our value creation ensures that the properties operate optimally to remain competitive in the marketplace. Effective property management through AEs are also essential to prolong the life of the assets and ensuring the condition of the property is tenable to remain competitive. For a more detailed review of our financial performance, please refer to the Management Discussion and Analysis section and Financial Statements section of this Annual Report.

Supply Chain Management

Responsible and effective management of our supply chain ensures the continuous delivery of high-quality properties that meet the needs and expectations of our investors and tenants. Our suppliers, including service providers and contractors, lie at the heart of our supply chain. Hence, selecting the right suppliers and building a network of strong relationships help us to create value throughout our investment portfolio.

To aid in the selection of qualified suppliers, we have established an Approved Vendor Listing, and yearly contracts with several suppliers deemed suitable for specific job scopes. Any potential new suppliers will undergo screening as part of our stringent tender process. The initial stage of this process includes company background checks and project references. Those selected are required to provide the relevant licenses to operate for record keeping.

We encourage an open line of communication to ensure that our requirements are understood. If there are any queries, our in-house team is able to assist or provide the relevant support.

All suppliers are required to undergo a yearly performance evaluation to determine whether the services they have provided meet our standards. A wide range of criteria are scored on a scale from one (1) to five (5), where one (1) refers to poor performance and five (5) refers to excellent performance. Upon determining the overall performance, we identify if any improvements have been made since the last review, followed by a recommendation to retain, keep in view, or replace the suppliers.

Apart from the annual performance evaluation, we monitor the performance of the suppliers on a regular basis to assess the quality of work done.

Another crucial facet of our supply chain is practising sustainable procurement. We are cognisant of our role in nation development and believe that local procurement contributes to local economic growth as it supports local businesses. Sourcing locally also mitigates the negative environmental impact associated with carbon emissions from long-distance transportation. Taking all of this into consideration, we procure products and services locally where possible. For financial year 2022, 100% of our procurement budget was expended locally.

MATERIAL ISSUES (continued)

ECONOMIC (continued)

Product Investments

Maintaining and upgrading the quality of UOA REIT's properties are essential to the success of the Trust as well as meeting the expectations of all stakeholders and unitholders. The quality of the properties largely determines the value and income generated.

During the financial year 2022, we have carried out some upgrading works on the escalator as well as refurbishment of food court at UOA II Parcels. As part of the efforts to enhance the UOA REIT's properties in order to improve the rental income, the Group has also completed the renovation and refurbishment works for some of the vacant and partly fitted units.

The cashless and ticketless system was introduced at the car parks of UOA REIT's properties for visitors to make payment using their MyDebit card, Mastercard and Visa card instead of cash. This provides added convenience and time saving for visitors to drive in and exit without having to look for the auto-pay stations to make cash payments. The system was implemented in financial year 2022.

Regulatory Compliance

We integrate the compliance culture within our business by observing legal, regulatory and internal regulations as well as the observance of common standards and rules of professional conduct. Our business activities are conducted based on ethical and legal standards with high levels of integrity in fostering a sense of responsibility and trust with our stakeholders.

We also ensure that all sub-contractors/service providers deliver their services in accordance to requirements and adherence to appropriate evaluation process.

We have put in place various measures to ensure we continue to comply with all applicable laws and regulations in order to maintain our license to operate. The key national laws and regulations applicable to UOA REIT are:

- Guidelines on Listed Real Estate Investment Trusts
- Capital Markets and Services Act 2007
- Main Market Listing Requirements of Bursa Malaysia Securities Berhad
- Companies Act 2016
- Employment Act 1955
- Environmental Quality Act 1974
- Personal Data Protection Act 2010
- Malaysian Anti-Corruption Commission Act 2009

At UOA REIT, we also ensure our employees are kept up-to-date on corporate policies such as the 'Whistleblowing policy'.

The Whistleblowing policy aims to encourage employees and other stakeholder groups to disclose any improper conduct that they have become aware of. Concerns can be raised directly to the Independent Directors. The Manager is committed to ensuring that all cases will be treated in the strictest of confidence and promptly investigated. There were zero cases reported in 2021 and 2022.

Non-compliance with this policy is classed as major misconduct and the employee involved will be subjected to disciplinary action, which may lead to dismissal.

SUSTAINABILITY STATEMENT (CONTINUED)

MATERIAL ISSUES (continued)

ECONOMIC (continued)

Regulatory Compliance (continued)

UOA REIT has established an Anti-Bribery & Corruption Policy which is published on its website in accordance with the Guidelines on Adequate Procedures issued pursuant to subsection (5) of Section 17A of the Malaysia Anti-Corruption Commission Act 2009 which came into effect in June 2020. The said Policy has been and will be disseminated to all the employees and other stakeholders from time to time when necessary.

Please refer to the Statement of Corporate Governance, Audit & Risk Management Committee Report, and Statement on Risk Management and Internal Control of this Annual Report for more details on compliance.

Online Lead Generation Campaign for UOA REIT Signature Offices

As part of our digitalisation plan to progressively use more technology to improve our business processes, operational and cost efficiencies, we have implemented an online lead generation campaign for UOA REIT signature offices to diversify and complement our traditional marketing platform (prints/classified advertisements). Our intention is to reach and engage new leads via online channels such as Google, Facebook and LinkedIn, while enhancing brand awareness and interests in our office units.

The advantages of the online campaign include:

- reduces cost and runs 24/7, whereby customers can access our product information at their most convenient time
- target audiences based on demography
- measure and track results in real-time, and adjust our business plans to continuously improve results
- data collection of prospects and web traffic allows for better analysis

ENVIRONMENTAL

Continuous efforts have been put into managing UOA REIT's commercial buildings by Jordan Lee Jaafar, the property manager of UOA REIT. Listed below are the key areas which have contributed to the effective operation and cost saving management of the buildings.

Energy, Water & Resource Efficiency

The building sector is one of the largest sources of carbon emissions in the country. In view of global climate change and Malaysia's commitment to reduce carbon emissions, we have taken initial steps to implement new environmentally friendly systems across our properties.

- Double Glazing Unit
Some of our building façades are equipped with curtain glass wall using double glaze glass to reduce heat penetration into the buildings.

MATERIAL ISSUES (continued)

ENVIRONMENTAL (continued)

Energy, Water & Resource Efficiency (continued)

- **Lighting Zoning & Energy Saving Light Fitting**
The lighting zones allow for more flexible control by owners and tenants to reduce energy consumption and cost by lighting only areas or zones that are occupied. This is complemented by the replacement of conventional lighting with LED lighting to reduce energy consumption throughout the car park area and corridors. Motion sensor lights are also installed in toilet/staircase and tested with a digital power meter in designated buildings to reduce energy consumption.
- **Sub-Metering**
Separate metering facilities are installed for lighting, power, domestic water and rainwater in designated offices for effective overall consumption monitoring.
- **Highly Efficient Equipment**
Upgrading of existing lifts with high efficiency motor and equipment with energy regeneration system.
- **Heat Recovery Wheel**
This system serves to shift lower temperature air from outside into indoor office areas by heat transfer through the heat wheel. The method reduces the air-conditioning usage by bringing in lower temperature air (fresh air) into the buildings.
- **Smoke Free Zone**
Smoking is prohibited in the buildings.
- **Indoor Air Pollutants**
The use of materials with minimal volatile organic compounds (VOC) and formaldehyde content such as paint and coating are used throughout the building to minimise detrimental impact on occupants' health.
- **Centralised Air-Conditioning System**
The use of centralised air-conditioning system to reduce the overall energy consumption in the buildings. Other initiatives include the installation of chilled water and condenser water treatment, usage of high efficiency water cooled chiller and the default setting of room temperature to 24 degree celsius (main lobby, lift lobby and office areas).
- **Refrigerant & Clean Agents**
Use of environmentally friendly refrigerants and clean agents as well as demonstrated leadership in accelerating the phase out of all ozone depleting substances and promoting the use of low global warming substances.
- **Rainwater Harvesting**
Reduction in potable water consumption through rainwater collection from roof top to designated water tank by gravity fled system to applications such as landscape irrigation, toilets and cleaning of common areas.

SUSTAINABILITY STATEMENT (CONTINUED)

MATERIAL ISSUES (continued)

ENVIRONMENTAL (continued)

Energy, Water & Resource Efficiency (continued)

- Water Efficient Landscaping
Use of native or adaptive plants to reduce potable water consumption.
- Water Efficient Fittings
Water consumption monitoring and installation of water saving fittings such as self-closing basin tap, toilet cistern with half/full flush and spray bidet to reduce water flow rate. A flood sensor is also installed at designated buildings to monitor potential flooding and early detection as well as to safeguard against water damage and prevent water waste.
- Non-Chemical Water Treatment for Cooling Tower
Use of non-chemical water treatment system for cooling tower to reduce airborne disease.

Waste

We ensure that the wastes generated from our properties are collected and disposed of responsibly in accordance with legal requirements, to minimise the wastes sent to landfills. We collaborate closely with our Property Managers to identify responsible waste management practices that would benefit both our stakeholders and the environmental value of our properties.

Our green initiatives to reduce environmental waste have and will continue to be implemented by creative recycling of annual festive ornaments; reduction in paper usage by e-mailing information instead of sending by mail; and continuous evaluation of potential automation system in order to identify areas of improvement to reduce energy cost.

Responsible Consumption

We have also taken the initiative to promote responsible consumption of resources within the management and finance offices. Employees are encouraged to practice in good consumption habits such as minimising electricity use, minimising printing and limiting the wastage of resources. For example, employees are encouraged to transform hardcopy records into softcopy, to print double sided or on recycled paper, when necessary.

MATERIAL ISSUES (continued)

SOCIAL

As a real estate investment trust, social sustainability encompasses our tenants, the Manager's employees, the property manager's employees and those who frequently visit our buildings.

New Normal Precautionary Measures (COVID-19)

The global COVID-19 pandemic has presented new norms indiscriminately and all participants of the economy had to adopt precautionary measures accordingly to mitigate the risk of infection.

We have heightened safety protocols in all our properties in compliance with the Ministry of Health's guidelines:

- 1) Effective communication with tenants/visitors to ensure implementation of the Standard Operating Procedure ("SOP");
- 2) Ongoing weekly disinfection at common properties;
- 3) Encourage the usage of face mask by all tenants/visitors before entering the buildings; and
- 4) Provision of hand sanitiser at the main lobbies/lift lobbies of the buildings.

Customer Focus

We are committed to achieve the highest customer satisfaction level by placing customers as a top priority. We maintain a responsible and responsive Facilities Management Programme with the objective of ensuring efficiency and peace of mind for owners/tenants. Yearly survey is conducted for our tenants on the services provided and quality of the properties. Continuous improvements on the quality of our buildings and services are carried out.

We also undertake various measures to ensure the quality of our buildings is maintained at all times. Whilst all our buildings are equipped with firefighting services and security systems, we also arrange for daily patrolling by our appointed security personnel in order to ensure the safety of occupants in our buildings. Our building management division has adopted crisis management policies and procedures to ensure annual testing, simulations and training for crisis situations are conducted.

We also ensure that local tenants are given priority, whenever it is practical to do so, as we consider it important to support local businesses, their products and services, and to indirectly have a positive impact on the local economy.

Managing Occupational Health & Safety and Security

As landlord of properties, we always place the safety of tenants and occupiers of our properties a priority. We are committed to minimising risks; ensuring safety; and protecting the health of tenants, contractors, employees and visitors who work in or visit UOA REIT's properties. As such, we have incorporated occupational safety and health policies and guidelines into our daily business operations with the aim to establish a positive safety culture with zero tolerance of workplace injury.

In addition, we organise fire drills regularly to ensure that our tenants and other co-owners of our projects are familiar with the evacuation process. We also ensure annual certification of our elevators and escalators. Certified chargemen are engaged to continuously assess the safety and maintenance of our electrical wiring and installations. Asset Enhancement Initiatives ("AEI") including escalator upgrading are carried out to ensure our buildings are kept in a good, tenantable and competitive condition.

SUSTAINABILITY STATEMENT (CONTINUED)

MATERIAL ISSUES (continued)

SOCIAL (continued)

Promising Workplace

The Manager acknowledges that the employees are our greatest assets. As an employer of choice, we are committed to growing and nurturing our talent pool through various channels, not only to help our employees reach their full potential, but also to ensure our business growth and sustainability.

- **Recruitment**

We strive to formulate a people-centric human resource approach to retain and recruit talents. This is reflected in our conduct of employment, including recruitment, hiring, compensation, training and promotion for all employees, regardless of race, gender or age. We practise non-discriminatory employment policy with conscious effort in promoting inclusivity and diversity.

Diversity is essential to our business as an investment fund as we require views and opinions from varying groups to ensure that the Group remains relevant in the current economic environment. Hence, we strive to ensure that all parties receive equal opportunities and enjoy a conducive working environment.

- **Employee Breakdown**

Currently, we have a gender distribution of 39% female and 61% male, 73% of which being Bumiputera while 27% are non-bumiputera. This reflects that we offer career advancement opportunities to deserving employees based on their performance, regardless of their gender or race.

A majority of our employees lies in the age group of 31-50 years. All employees are employed based on talents and capabilities to ensure that our workforce is culturally diverse and knowledgeable. Nevertheless, 23% of our employees lie within the age group of 30 and below. This shows that we also remain mindful of hiring young talents to groom Malaysia's younger generation with skills that will not only benefit our business and the economy but their employability value as well.

- **Training & Development**

To facilitate the continuous development and motivation of our employees, relevant internal and external training programmes that tailor to different divisions and individual employees were organised. External courses comprising technical and non-technical training workshops, seminars as well as conferences amounted to a total of 330 hours by the employees.

- **Minimising Turnover Rate**

Our employee turnover rate was recorded at 0.91% for the financial year ended 2022. We adhere to the requirements of Malaysia's Minimum Wages Order 2020 and assure our stakeholders that our business practices will continue to comply with the Order throughout our operations. Ensuring that our employees are fairly compensated with remuneration packages that are competitive within the domestic REIT industry is an important factor that contributes to employee satisfaction and talent retention.

MATERIAL ISSUES (continued)

SOCIAL (continued)

Promising Workplace (continued)

- **Minimising Turnover Rate (continued)**

To achieve a good working culture and encourage employee dedication, various employee benefits were provided during the financial year 2022 (continued) :

- 1) Medical Benefits
 - a. Outpatient Care covering employee, their non-working spouse and children below 21 years old
 - b. Group Hospitalisation & Surgical Insurance Plan
 - c. Group Personal Accident Insurance Plan
- 2) Statutory Contributions
 - a. Employees Provident Fund (EPF)
 - b. Employment Insurance System (EIS)
 - c. Social Security Organisation (SOCSO)
- 3) Dental Benefits
- 4) Marriage Gift & Baby Gift
- 5) Complementary Staff Parking
- 6) Awards (Long Service Award and Healthy Award)
- 7) Staff Dine-In Discount in selected restaurants
- 8) Medical Check-Up
- 9) Face Mask Distribution
- 10) Chinese New Year Angpow
- 11) Festive Discretionary Leave; and
- 12) Early Release for Muslim Employees during Ramadan

COMMUNITY OUTREACH

As a responsible corporate citizen, we give back to communities wherever we operate through our multi-faceted approach towards Corporate Social Responsibility ("CSR"). UOA recognises the importance of such engaging initiatives as they form the basis of a caring community, thereby helping to shape a better and more sustainable society.

Raya Food Hampers Distribution To 250 Single Parents & OKUs

In April 2022, UOA held the annual Sambutan Aidilfitri in Kerinchi to bring cheer to the underserved community. Some 250 food hampers together with duit raya were distributed to single parents and Orang Kurang Upaya (OKUs) in the presence of YB Fahmi Fadzil, Member of Parliament for Lembah Pantai.

The Raya hamper distribution was conducted with strict adherence to the established COVID-19 Standard Operating Procedures (SOPs) and guidelines to protect the safety and well-being of the community. Each hamper comprised food items such as rice, cooking oil, sugar, flour, coffee, biscuits and canned food.

SUSTAINABILITY STATEMENT (CONTINUED)

MATERIAL ISSUES (continued)

COMMUNITY OUTREACH (continued)

RM60,000 E-Paper Sponsorship To Benefit Tertiary Students

In September 2022, UOA sponsored subscriptions of The Star ePaper worth RM60,000 for selected higher learning institutions, under SMG's University Sponsorship Programme 2022. The e-Paper will serve as a convenient and beneficial educational resource for university students in need to keep abreast with current affairs, and support their academic pursuits. UOA hopes that the sponsorship will provide students with greater access to knowledge and information as they work on pursuing excellence, particularly in English.

In the spirit of lifelong learning and good reading habits, UOA believes it is important to help these students, who are our future leaders, to be equipped with a strong foundation in information literacy and analytical thinking, so that they can develop sound judgement and make informed decisions. A total of 800 students from the B40 group and self-supporting part-time student groups will benefit from the university sponsorship programme.

RM50,000 Donation In Support Of Breast Cancer Awareness Campaign

UOA donated RM50,000 to MH-Bifrost Run 2022: Run Against Breast Cancer that was held in October 2022. The campaign was promoted by Breast Cancer Resource Centre of University Malaya Medical Centre (BCRC, UMMC) in conjunction with Pink October Breast Cancer Awareness Campaign.

Former Deputy Minister of Women, Family and Community Development, Datin Paduka Chew Mei Fun; Chief Brand Officer for eShoplive, Ms Chiong Pei Pei; and Honorary Advisor of UMMC Pink Warrior, Puan Sri Chelsia Chan; came together as the Pink Warrior ambassadors to unite and inspire Malaysians to participate in the charity run. The ultimate objective of the campaign was to raise diagnostics funds for B40 breast cancer patients while promoting social awareness of breast cancer prevention.

CONCLUSION

Financial year 2022 was a challenging year brought forth by the effects of the COVID-19 global pandemic. As we continue to navigate our way towards a sustainable and resilient recovery amidst market uncertainty and economic downturn, we remain committed to further strengthening our prudent and agile approach in ensuring the long-term sustainability of our business.



UOA Centre

STATEMENT OF CORPORATE GOVERNANCE

The Board of Directors of UOA Asset Management Sdn Bhd ("Board"), being the Manager of UOA Real Estate Investment Trust ("UOA REIT") and its subsidiary ("Group") recognises the importance of good corporate governance as they firmly believe that an effective corporate governance culture is essential in the best interests of the unitholders and is critical to the performance and success of the Manager and subsequently the Group.

The Board follows the practices and policies of the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines") and the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("Listing Requirements"). The Board has also adopted relevant principles and recommendations of the Malaysian Code of Corporate Governance 2021, where applicable to the operations of the Group and is pleased to provide a narrative statement on the Manager's main corporate governance practices and policies.

A. THE MANAGER OF UOA REIT

The Manager has general powers of management over the assets of the Group. Its primary role is to set the strategic direction of the Group and manage the assets and liabilities of the Group for the benefit of its unitholders, to ensure that the operations of the Group are conducted in a proper, diligent and efficient manner within an appropriate risk management framework; and to enhance value returns to its unitholders.

The Manager's primary functions and responsibilities include:

- Setting the strategic direction of the Group and recommend to the Trustee on the acquisition, divestment or enhancement of assets in accordance with the Manager's investment strategy;
- Formulating plans for equity and debt financing for the Group's capital requirements with the objective of optimising the capital structure and the cost of capital;
- Ensuring proper recording of transactions including the preparation of accounts, and annual financial statements and reports;
- Supervising the Property Manager who performs the day-to-day property management functions for the Group's properties; and
- Ensuring compliance with the relevant laws and applicable provisions of the REIT Guidelines, Listing Requirements and the trust deed constituting UOA REIT dated 28 November 2005 ("Deed").

UOA REIT is externally managed by the Manager and it has no personnel of its own. The Manager appoints experienced and well-qualified management personnel to handle the day-to-day operations. All Directors and employees of the Manager are remunerated by the Manager and not by UOA REIT. UOA Asset Management Sdn Bhd is the appointed Manager of UOA REIT in accordance with the terms of the Deed which outlines the circumstances under which the Manager can be retired.

The Manager holds a Capital Markets Services Licence as required under the Capital Markets and Services Act 2007 to carry on the regulated activity of fund management in relation to asset management restricted to real estate investment trust activities. The Manager is a member of the Securities Industry Dispute Resolution Centre (SIDREC) pursuant to the requirements in the Capital Markets and Services (Dispute Resolution) Regulations 2010.

STATEMENT OF CORPORATE GOVERNANCE (CONTINUED)

B. BOARD OF DIRECTORS OF THE MANAGER OF UOA REIT

Role of the Board

The Board is responsible for the oversight and corporate governance of the Manager. The Board sets the strategic direction, oversees the proper conduct of the Manager's activities, identifies principal risks and ensures the implementation of systems to manage these risks. In addition, the Board reviews key matters such as financial results, investments, divestments and major capital expenditure of the Group. In making decisions, the Board considers the business outlook and other factors affecting real estate investment trusts and property sectors.

Appointment to the Board

All new nominations are assessed by the Directors and the final decision of appointment lies with the entire Board to ensure a balanced mix of experience and expertise of members of the Board.

Board Composition

The Board presently consists of five (5) members, comprising one (1) Executive Director and four (4) Non-Executive Directors. Three (3) of the Non-Executive Directors are independent. The Board composition complies with provisions of the Listing Requirements and the REIT Guidelines for at least one third (1/3) of the Board to be independent.

The Board composition reflects a mix of suitably qualified and experienced professionals in the fields of accountancy, banking and finance, real estate development and property management. This combination of different professions and skills working together enables the Board to effectively lead and govern the Manager and the Group.

The Board is led by competent Independent Directors, namely an Independent Non-Executive Chairman and two Independent Non-Executive Directors, who are highly respected persons with extensive experience in various fields and are able to provide sufficient guidance and advice to the Audit and Risk Management Committee and the Board. There are four male and one female Directors on the Board. The Board is of the opinion that the composition of the Board is adequate.

Clear Roles and Responsibilities

The positions of Chairman of the Board and Chief Executive Officer ("CEO") are held by separate persons.

The Chairman leads the Board to ensure that members of the Board work together with the Manager in a constructive manner to address strategies, business operations, financial performance and risk management issues. The Chairman also takes a lead role in promoting high standards of corporate governance with the full support of the Board and the Manager.

The CEO is responsible for implementing the policies and decisions of the Board. The CEO also has full executive responsibilities over the business directions and operational decisions in managing UOA REIT.

The clear separation of roles of the Chairman and the CEO provides a healthy, independent and professional relationship between the Board and the management.

The Board is assisted by a qualified and competent Company Secretary and a Compliance Officer to provide sound governance advice and ensure adherence to rules and procedures.

The Board has formalized its Board Charter setting out the roles and responsibilities of the Board together with its objectives. The Board Charter serves as a guide to the Board in carrying out its duties. The Board Charter is published on UOA REIT's website.

Independence and Time Commitment

The Board receives annual written confirmation from the Independent Directors confirming their independence and in which the Directors acknowledge their respective positions. All the Directors are able to devote sufficient time and attention to the operations of UOA REIT and to update themselves with knowledge and skills by attending seminars and training. The Directors are also accessible by email and telecommunication should the need arises.

B. BOARD OF DIRECTORS OF THE MANAGER OF UOA REIT (CONTINUED)

Corporate Code of Conduct and Whistleblowing Policy

The Manager has in place procedures to provide its employees with defined and accessible channels to report on suspected fraud, corruption, dishonest practices or other similar matters relating to the Group and/or the Manager, and for the independent investigation of any reports by employees and appropriate follow up action.

The aim of the whistleblowing policy is to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly, and to the extent possible, be protected from reprisal.

The Manager has developed a Whistle Blowing Policy for the public to have access to the Independent Directors and Chairman of the Board.

United Overseas Australia Ltd ("UOA Ltd"), the ultimate holding company of the Manager has established a Code of Conduct which sets out the standards which directors, officers, managers, employees and consultants of UOA Ltd and its subsidiaries are expected to comply with in relation to the affairs of their businesses.

Pursuant to the Guidelines on Adequate Procedures issued pursuant to subsection (5) of Section 17A of the Malaysian Anti-Corruption Commission Act 2009 (Act 694) ("MACC Act 2009") which came into effect in June 2020, the Manager has established its Anti-Bribery and Corruption Policy which is published on its website.

Corporate Social Responsibility

The UOA Ltd Group continuously carries out corporate social responsibility initiatives in the areas of education, environment and community activities.

Board Meetings

The Board meets to discuss and review the Manager's operations and the financial performance of the Group and meetings are held at least once every quarter (or more often if necessary). The Board is provided in advance with the agenda together with reports and supporting documents relevant to the Board Meeting. The proceedings of the Board Meetings are duly minuted and signed by the Chairman of the meeting. The Board met six (6) times during the financial year ended 31 December 2022. The attendance record of the Board is as follows:

Directors	Total Board Meetings Attended	Percentage of Attendance
Kong Sze Choon	6/6	100%
Kung Beng Hong	6/6	100%
Dato' Gan Boon Khuay	6/6	100%
Yap Kang Beng	6/6	100%
Karn Sau Meng	6/6	100%

All the Directors have complied with the Listing Requirements by having attended more than fifty percent of the number of Board Meetings held.

All the Directors have access to the Audit and Risk Management Committee, the internal auditors, the Company Secretary and Compliance Officer, as well as to independent professional consultants for advice if and when necessary.

STATEMENT OF CORPORATE GOVERNANCE (CONTINUED)

B. BOARD OF DIRECTORS OF THE MANAGER OF UOA REIT (CONTINUED)

Directors' Fees

The remuneration paid by the Manager to its Directors for the year ended 31 December 2022 is as follows:

	Fees RM	Salaries RM	Others RM	Total RM
Kong Sze Choon	-	558,000	67,603	625,603
Kung Beng Hong	48,000	-	-	48,000
Dato' Gan Boon Khuay	48,000	-	-	48,000
Karn Sau Meng	48,000	-	-	48,000

Directors' Training

During the year ended 31 December 2022, the Directors have attended training and seminars as follows:

Directors	Training And Seminars Attended
Kong Sze Choon	1) Preparing Leaders & Executives for Artificial Intelligence 2) Decoding Transaction & Related Party Transactions Rules
Kung Beng Hong	1) Thannes Tax Conference 2022 2) The Audit Committee: Unpacking the roles of the Committee & honing its effectiveness in discharging its responsibilities holistically
Dato' Gan Boon Khuay	1) Thannes Tax Conference 2022 2) 3rd Annual Malaysian REIT Forum 2022: M-REITs & The Road Ahead
Yap Kang Beng	1) Thannes Tax Conference 2022
Karn Sau Meng	1) The Audit Committee: Unpacking the roles of the Committee & honing its effectiveness in discharging its responsibilities holistically 2) Mandatory Accreditation Programme 3) Cessation of employment: What You Should Know and What will be the Employee and Employer Responsibilities

C. DUE DILIGENCE COMMITTEE

The Due Diligence Committee (“DDC”) was established by and operates under the delegated authority of the Board. The DDC comprises one (1) Independent Director, one (1) Non-Independent Director and one (1) management representative. The DDC’s role is to perform appropriate due diligence work on any proposed investment or divestment and make recommendations to the Board.

D. AUDIT AND RISK MANAGEMENT COMMITTEE

The Board has adopted the best practices in corporate governance by establishing an Audit and Risk Management Committee (“ARMC”) and implemented an Internal Audit Function. The Board is committed to maintaining a sound and effective system of internal control in order to safeguard the interests of the unitholders of UOA REIT and the investments and assets of the Group.

Key Functions and Responsibilities, and Summary of Activities of the ARMC during the Year

The detailed ARMC Report including the key functions and responsibilities, and the summary activities of the ARMC are more specifically set out in the ARMC Report in this Annual Report.

E. INTERNAL AUDIT FUNCTION AND RISK MANAGEMENT

The Internal Audit Function is undertaken by the internal auditors of UOA Ltd and is independent of Management. The ARMC meets with the internal auditors at its quarterly meetings. A Risk Management Policy has been adopted by the Board to mitigate risks of the Group. Further details are set out in the Statement on Risk Management and Internal Control.

The ARMC reviews related party transactions at its quarterly meetings and whenever deemed necessary. A Related Party Transaction Policy has been adopted to enable the ARMC to review and deliberate on such transactions appropriately. Suitable recommendations are presented to the Board for approval.

The ARMC ensures that financial statements comply with the applicable financial reporting standards and meet with the external auditors at least two (2) times a year to ensure that such standards are in place. The external auditors confirm their independence to the ARMC at the meeting where they table the audit findings to the ARMC.

F. ACCOUNTABILITY AND AUDIT

Directors’ Responsibility Statement for Preparing the Annual Audited Financial Statements

The Board is responsible for ensuring that the financial statements of the Group are drawn up in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards, REIT Guidelines and the Deed. In preparing the financial statements, the Directors have selected and applied consistently suitable accounting policies and made judgements and estimates that are reasonable and prudent.

Timely Disclosures

The Board ensures timely disclosure of transactions and other necessary disclosures by having in place various checklists prepared in accordance with regulatory requirements and disseminated to the relevant departments to enable disclosures to be made on a timely basis.

Relationship with Auditors

The appointment of the external auditors (“Auditors”), nominated by the Manager, is approved by the Trustee. The Auditors are independent of the Manager and the Trustee. The remuneration of the Auditors is approved by the Trustee. While there is no specific policy on the assessment of the Auditors, the Board reviews and approves the re-appointment of the Auditors on a yearly basis.

Communication with Unitholders and Dissemination of Information

The Board acknowledges the importance of regular communication with unitholders and the investing community to ensure that they are well informed of the activities and performance of the Group. The communication channels include UOA REIT’s website, quarterly reports, annual reports, circulars, various disclosures and announcements on Bursa Malaysia’s website, and at general meeting of unitholders.

AUDIT & RISK MANAGEMENT COMMITTEE REPORT

INTRODUCTION

The Board of Directors ("Board") has established an Audit and Risk Management Committee ("ARMC") and implemented an Internal Audit and Risk Management Function. The Board is committed to maintaining a sound and effective system of internal control in order to safeguard the interests of the unitholders of UOA REIT and the investments and assets of the Group. The ARMC provides assistance to the Board in fulfilling its corporate governance responsibilities in relation to financial reporting, internal control structure, related party transactions and external and internal audit functions. The ARMC may invite any of the key management or employees to participate in its meetings and to appoint any relevant consultants or professionals to assist it to discharge its functions.

COMPOSITION

The ARMC consists of the following two (2) Independent Non-Executive Directors and a Non-Independent Non-Executive Director:

- | | | |
|--------------------|---|---|
| Mr. Kung Beng Hong | - | Independent Non-Executive Director/Chairman of the ARMC |
| Ms. Karn Sau Meng | - | Independent Non-Executive Director |
| Mr. Yap Kang Beng | - | Non-Independent Non-Executive Director |

SUMMARY OF TERMS OF REFERENCE

1. Composition

The ARMC is appointed by the Board from among its members. The appointment and composition of the ARMC is determined based on the following principles:

- Comprises at least three (3) members;
- All members must be Non-Executive Directors with a majority of them being independent directors;
- At least one (1) member must be a member of the Malaysian Institute of Accountants or a member of an accounting association as specified in Part II of the First Schedule of the Accountants Act, 1967; and
- The Chairman must be an Independent Director.

The ARMC consists of two (2) Independent Non-Executive Directors and a Non-Independent Non-Executive Director.

- Mr. Kung Beng Hong (Chairman/Independent and Non-Executive Director);
- Ms. Karn Sau Meng (Independent and Non-Executive Director); and
- Mr. Yap Kang Beng (Non-Independent and Non-Executive Director).

The Terms of Reference of the ARMC is published on our website.

2. Key Functions and Responsibilities, and Summary of Activities of the ARMC during the Year

The key functions and responsibilities of the ARMC are:

- To review together with the internal auditors, their internal audit plans and internal audit reports, and to evaluate major findings of these reports and management's responses to these findings;
- To review the adequacy of the scopes, functions, competencies and resources of the internal audit function and to ensure that it has the necessary authority to carry out its work;
- To direct the internal auditors to any specific area or procedure for audit if necessary;
- To review the internal auditor's report on risk management so as to evaluate key risks that would have significant impact on the Group's business and the measures taken to mitigate such risks;
- To recommend to the Board any matters relating to the appointment of external auditors, the fees and any matters in relation to resignation or dismissal of the external auditors;
- To review together with the external auditors, the audit plan and scope of their audit and upon completion of the audit assessment, to present the audit findings and recommendation of the external auditors to the Board;
- To assess the suitability and independence of the external auditors. The ARMC reviews the independence of the external auditors at the meeting where the external auditors confirm their independence when they table their audit findings to the ARMC;
- To discuss problems and reservations arising from the internal audit, statutory audit, and matters that the internal and/or external auditors may wish to discuss (in the absence of the management where appropriate);
- To review the quarterly results and year-end financial statements prior to the approval by the Board;
- To review financial statements with focus on significant matters highlighted including financial reporting issues, significant judgement made by management, and significant and unusual events or transactions, and how these matters are addressed;
- To monitor and evaluate the effectiveness of the Manager's internal control systems and the internal/external auditors' evaluation of these systems;
- To monitor the procedures established to ensure compliance with relevant laws and applicable provisions of the REIT Guidelines, Listing Requirements and the Deed;
- To review related party transactions and any conflict of interest situations that may arise within the Manager and/or the Group; and
- To perform any other functions as directed by the Board.

3. Frequency and Attendance of Meetings

A minimum of four (4) meetings a year shall be planned and any additional meetings will be on a need basis. The ARMC meets with the External Auditors without Executive Board members present at least twice a year. The ARMC meets regularly, with due notice of issues to be discussed, and records its conclusions and then report to the full Board as and when necessary. The Chairman of the ARMC engages on a continuous basis with Senior Management, the Accountant, the Internal Auditors and the External Auditors in order to keep abreast of matters affecting the Group. Other Board members and employees may attend any particular ARMC meeting only upon the invitation of the ARMC specific to a relevant meeting.

AUDIT & RISK MANAGEMENT COMMITTEE REPORT (CONTINUED)

3. Frequency and Attendance of Meetings (continued)

The ARMC met five (5) times during the financial year ended 31 December 2022. The attendance record of the ARMC are as follows:

Directors	Total meetings attended	Percentage of Attendance
Kung Beng Hong	5/5	100%
Karn Sau Meng	5/5	100%
Yap Kang Beng	5/5	100%

Summary of Activities of the ARMC during the Year

Functions and responsibilities performed by the ARMC during the financial year ended 31 December 2022 include the following:

- Reviewed the external auditors' Audit Planning Memorandum, audit approach and reporting requirement prior to the commence of audit for the financial year ended 31 December 2022;
- Reviewed the external auditors' Audit Progression Memorandum and Audit Completion Memorandum for the audit for the year ended 31 December 2022 and discussed on key audit areas and any significant audit findings;
- Reviewed the results of risk management activities;
- Reviewed the compliance with Guidelines on Listed REITs, Malaysian Code on Corporate Governance and related party transaction with the internal auditors;
- Reviewed the function of purchasing, contracts and payment to contractors and suppliers with the internal auditors;
- Reviewed the quarterly results for all the financial quarters and year-end;
- Reviewed and approved the reports and statements for the Annual Report 2022;
- Reviewed the Business Continuity Plan with the internal auditors;
- Reviewed the compliance in relation to related party transaction; and
- Reviewed with the internal auditors, and approved the annual audit plan for the year ending 31 December 2023.

Access to and Supply of Information

The ARMC is entitled to full access to and co-operation of the management and internal auditors. Other Board members and employees may attend any particular ARMC meeting upon invitation by the ARMC. The ARMC has full access to reasonable resources to enable it to discharge its functions properly.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

The Board of Directors of UOA Asset Management Sdn Bhd ("Board"), being the Manager of UOA Real Estate Investment Trust ("UOA REIT") and its subsidiary ("Group") is committed to nurture and preserve an effective and sound system of risk management and internal control to safeguard the interests of the unitholders of UOA REIT as well as the investments and assets of the Group. In taking on this commitment, the Board has adopted the best practices in corporate governance by establishing an Audit and Risk Management Committee ("ARMC") and setting up an Internal Audit Function, undertaken by the Internal Auditors of United Overseas Australia Ltd to comply with Paragraph 15.26 (b) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

The Board is pleased to provide a statement on the state of the Manager's internal controls for inclusion in this Annual Report for the financial year ended 31 December 2022.

Internal Audit Function

The internal audit function is undertaken by the Internal Audit Department of the ultimate holding company of the Manager, United Overseas Australia Ltd. The ARMC has an oversight function of all activities carried out by the internal auditors in respect of the Group.

The principal role of the internal auditors is to independently review the risk exposures and control processes implemented by the Manager and conduct assignments which encompass auditing and review of critical areas, report on the adequacy, effectiveness and efficiency of the operations and internal control and highlight the significant findings in respect of non-compliance within the Group to the ARMC.

The Internal Audit Department function is guided by the Institute of Internal Auditors' International Professional Practices Framework ("IPPF"). The internal audit framework is designed to be in line with the Committee of Sponsoring Organisations of the Treadway Commission ("COSO") Internal Control - Integrated Framework. The Internal Audit Department reports directly to the ARMC.

The internal auditors engage in regular communication with the senior management team and various departments within the organisation in relation to its internal audit activities. Efforts for continuous improvement in operations and systems are also discussed.

Internal audit reports which include details of activities planned, audit findings and recommendations are tabled at quarterly ARMC meetings.

A summary of internal audit activities that were undertaken during the financial year ended 31 December 2022 are as follows:

- Reviewed on the compliance with Guidelines on Listed Real Estate Investment Trusts;
- Reviewed on the process of purchasing, contract and payment to contractors and suppliers;
- Reviewed on financial management; and
- Reviewed on the Business Continuity Plan for UOA Real Estate Investment Trust.

The professionalism and competency of internal auditors are being emphasized through continuous training, regular performance evaluation by the ARMC and attaining professional certifications. As at year ended 31 December 2022, the Internal Audit Department comprises 3 internal auditors. The head of the Internal Audit Department is a Certified Internal Auditor and member of The Institute of Internal Auditors Malaysia. All internal audit personnel are free from any relationship or conflicts of interest, which could impair their objectivity and independence.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL (CONTINUED)

Key Elements of Internal Control

The Board assumes its responsibility to maintain a sound and effective system of internal control and risk management practices within the Manager in order to meet business objectives. The Board acknowledges that the system provides reasonable but not absolute assurance against material misstatement of management and financial information or against financial losses or fraud. Therefore, the Board ensures the effectiveness of the system through regular reviews.

The Board has appointed the ARMC to review the effectiveness of the Group's system of internal control. The ARMC, assisted by the Internal Audit Function provides the Board with the assurance it requires on the adequacy and integrity of the system of internal control.

The current system of internal control has within it the following key elements:

- There is an operations manual which provides an overview of the Manager's responsibilities in relation to management of the Group. This operations manual is a guide to daily activities and operations of the Group and is subject to periodic review and updates;
- Quarterly management reporting on the performance of the Group is presented to the Board;
- The operational structure is well defined with adequate segregation of duties to ensure check and balance on jobs, as well as delegation of authorities and responsibilities;
- Human resource policy, procedure and related human resource matters are communicated to staff via regular memo, emails and the employee handbook. These are also available on the internal information portal.
- Establishment of an Internal Audit Function which carries out internal audit review according to a risk-based audit plan approved by the ARMC. The internal auditors tabled the results of their review with recommendations and follow up actions to the ARMC on quarterly basis;
- Adequate insurance coverage in respect of insurable risk (including investment properties) to appropriate levels, which are determined upon consultation with relevant professionals;
- On-going training and educational programmes for Directors and relevant staff in their respective areas of duty in order for them to perform their functions effectively;
- Adoption of a Risk Management Policy to identify key risks together with the appropriate measures and controls to manage the aforesaid risks. These are then outlined in the Risk Register and subsequently appraised by the ARMC;
- Adoption of a Related Party Transaction Policy to ensure that related party transactions are undertaken in compliance with the REIT Guidelines and the Trust Deed, and are carried out on an arm's length basis and on normal commercial terms; and
- The Business Continuity Plan is in place to ensure timely continuation of operations in the event of disruption.

Non-compliance and internal control weaknesses noted by the internal and external auditors and their recommendations will be reported to the ARMC. To date, there have been no identified non-compliance or internal control weaknesses of a material nature.

Risk Management

The Board has established a sound risk management framework which is currently being adopted by the Manager that enables it to continuously identify, evaluate, mitigate and monitor risks that affect the Group. The Board provides an oversight function on risk management. However, responsibility for managing risk lies initially with the business unit concerned, working within the overall strategy outlined by the Board. Therefore, the Manager has formed the Risk Management Working Committee ("RMWC") which encompasses key personnel from various departments to identify potential risks, to assess the effectiveness of existing controls and to develop mitigating measures to manage significant risks.

With the assistance rendered by the internal auditors, the RMWC has formulated and developed a Risk Management Policy which was reviewed by the ARMC and approved by the Board. The Risk Management Policy was revised in 2021 and aims to:

- Provide objectives and principles in risk management activities;
- Establish responsibilities and accountability in risk management;
- Establish risk management structures and processes; and
- Establish risk parameters in risk assessment.

During the financial year under review, the RMWC performed a risk assessment. Identified risks were categorised and assessed in terms of likelihood and consequences. Subsequent to the risk assessment, a residual risk rating was recorded taking into account the effectiveness of internal controls in mitigating the risk. The outcome of the risk assessment was recorded in the Risk Register and Risk Heat Map for ARMC deliberation. The RMWC ensures that internal controls are in place and effective in mitigating the risk, while the ARMC provides an oversight role in risk management.

The management has given its assurance to the Board that the Group's risk management and internal control system is operating adequately and effectively in all material respects. This is based on the Group's effective processes of control and oversight.

Review of This Statement by External Auditors

The external auditors have reviewed this Statement on Risk Management and Internal Control for inclusion in the annual report for the financial year ended 31 December 2022. Their review was conducted in accordance with Assurance Engagements Other than Audits or Reviews of Historical Financial Information ("AAPG 3"), Guidance for Auditors on Engagements to Report on the Statement on Risk Management and Internal Control included in the Annual Report, issued by the Malaysian Institute of Accountants (MIA). AAPG 3 does not require the external auditors to, and they did not, consider whether this Statement covers all risks and controls, or to form an opinion on the adequacy and effectiveness of the Group's risk and control procedures. AAPG 3 also does not require the external auditors to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems. Based on their review, the external auditors have reported to the Board that nothing has come to their attention that causes them to believe that this Statement is inconsistent with their understanding of the process the Board has adopted in the review of the adequacy and effectiveness of the risk management and internal control system.

The Board's Conclusion

The Board is of the view that the current system of internal control is responsive and adequate to the business environment of the Group. There was no material control failure or weakness that would have any material adverse effects on the results of the Group for the period under review.

In addition, the Board is of the view that the Group will maintain its business objective and operational efficiency by continuous commitment towards a sound system of internal control. The Board continues to take measures to enhance the system of internal control.

ADDITIONAL COMPLIANCE INFORMATION

Material Contracts

There was no material contract entered into involving directors' and major unitholders' interest which were still subsisting as at the end of the financial year under review or which were entered into since the end of the previous financial year, except as disclosed in Note 28 to the financial statements.

Non-Audit Fees

Non-audit fees paid/payable to the external auditors of the Trust and its subsidiary for the financial year ended 31 December 2022 amounted to RM3,000 in respect of services for the review of the Statement on Risk Management and Internal Control of the Trust.

The provision of non-audit services by the external auditors to the Group is both cost effective and efficient due to their knowledge and understanding of the operations of the Group, and did not compromise their independence and objectivity.

DIRECTORS OF THE MANAGER'S RESPONSIBILITY STATEMENT

for the Audited Financial Statements

The Directors of the Manager ("The Directors") are required by the Companies Act 2016 to prepare the financial statements for each financial year which have been made out in accordance with applicable Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"), the provisions of the Deed dated 28 November 2005 ("Deed"), the requirements of the Companies Act 2016 and the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

The Directors are responsible to ensure that the financial statements give a true and fair view of the state of affairs of the Group and the Trust at the end of the financial year, and of the results and cash flows of the Group and the Trust for the financial year.

In preparing the financial statements, the Directors have:

- Adopted appropriate accounting policies and applied them consistently;
- Made judgements and estimates that are reasonable and prudent; and
- Prepared the financial statements on a going concern basis.

The Directors are responsible to ensure that the Group and the Trust keep accounting records which disclose with reasonable accuracy the financial position of the Group and the Trust which enable them to ensure that the financial statements comply with the Companies Act 2016. The Directors have taken reasonable steps to detect and prevent fraud and other irregularities, and to safeguard the assets of the Group and of the Trust.

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MANAGER'S REPORT

UOA Asset Management Sdn Bhd, the Manager of UOA Real Estate Investment Trust ("UOA REIT" or "Trust"), has pleasure in presenting the Manager's Report on UOA REIT together with the audited financial statements of the Group and of the Trust for the financial year ended 31 December 2022.

PRINCIPAL ACTIVITY OF MANAGER

The Manager, a company incorporated in Malaysia, is a subsidiary of UOA Corporation Berhad (a subsidiary of UOA Holdings Sdn Bhd which in turn, is a wholly owned subsidiary of United Overseas Australia Ltd, a company incorporated in Australia and listed on the Australian Stock Exchange and the Stock Exchange of Singapore). The principal activity of the Manager is the management of real estate investment trusts. There has been no significant change in the nature of this activity during the financial year.

PRINCIPAL ACTIVITIES OF THE TRUST

UOA REIT is a Malaysia-domiciled real estate investment trust constituted under a Deed dated 28 November 2005 ("Deed") by UOA Asset Management Sdn Bhd ("Manager") and RHB Trustees Berhad ("Trustee").

UOA REIT commenced its operations on 1 December 2005 and was listed on the Main Market of Bursa Malaysia Securities Berhad on 30 December 2005. The principal activity of UOA REIT is to invest in a diversified portfolio of real estate and real estate-related assets used, or predominantly used, for commercial purposes, whether directly or indirectly through the ownership of single-purpose companies, who wholly own real estate with the objective of achieving a stable return from rental income and long-term capital growth. There has been no significant change in the nature of this activity during the financial year.

UOA REIT will continue its operations until such time as determined by the Trustee and the Manager as provided under Clause 26 of the Deed.

The principal activity of the subsidiary company is disclosed in Note 7 to the Financial Statements.

CHANGES IN THE STATE OF AFFAIRS

There was no change in the state of affairs of the Group during the financial year under review.

BOARD OF DIRECTORS OF THE MANAGER ("DIRECTORS")

Directors	Date of appointment
Dato' Gan Boon Khuay	16 November 2005
Kung Beng Hong	28 November 2005
Kong Sze Choon	14 January 2011
Yap Kang Beng	18 March 2016
Karn Sau Meng	23 December 2021

DIRECTORS' BENEFIT

Neither at the end of the financial year, nor at any time during that financial year, did there exist any arrangement to which UOA Asset Management Sdn Bhd was a party, whereby Directors of the Manager might acquire benefits by means of the acquisition of units in or debentures of the Trust or any other body corporate.

During the financial year under review, no Director of the Manager has received or become entitled to receive any benefit by reason of a contract made by UOA Asset Management Sdn Bhd or a related corporation, with any director or with a firm of which he is a member, or with a company or a related corporation, in which he has a substantial financial interest, except as disclosed in Note 28 to the Financial Statements.

DIRECTORS' INTEREST

The interests and deemed interests in the units of the Trust of those who were Directors as at the financial year end (including the interests of the spouses or children of the Directors who themselves are not Directors of the Company) are as follows:

	Number of units		
	As at 1 January 2022	Acquired	Disposed
			As at 31 December 2022
Direct interest			
Dato' Gan Boon Khuay	400,000	100,000	-
Kung Beng Hong	400,000	-	-
Kong Sze Choon	69,000	-	-
Indirect interest			
Kong Sze Choon *	24,000	-	-
Kung Beng Hong #	63,400	100,000	-

* By virtue of his interest in the shares of Global Transact Sdn Bhd

By virtue of shares held by his spouse

None of the other Directors in office at the end of the financial year had any interest in units in the Trust during the financial year.

SOFT COMMISSION

During the financial year, the Manager did not receive any soft commission from its broker, by virtue of transactions conducted by the Group.

CONFLICT OF INTEREST

None of the Directors and employees of the Manager have any conflict of interest with the Group and the Trust.

OTHER STATUTORY INFORMATION

Before the financial statements of the Group and of the Trust were made out, the Directors took reasonable steps:

- to ascertain that proper action had been taken in relation to the writing off of bad debts and the allowance for doubtful debts, and satisfied themselves that all known bad debts had been written off and adequate allowance had been made for doubtful debts; and

MANAGER'S REPORT (CONTINUED)

OTHER STATUTORY INFORMATION (continued)

Before the financial statements of the Group and of the Trust were made out, the Directors took reasonable steps (continued):

- b) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including their values as shown in the accounting records of the Group and of the Trust have been written down to an amount which they might be expected so to realise.

At the date of this report, the Directors are not aware of any circumstances:

- a) which would render the amounts written off for bad debts or the amount of the allowance for doubtful debts in the financial statements of the Group and of the Trust inadequate to any substantial extent; or
- b) which would render the values attributed to current assets in the financial statements of the Group and of the Trust misleading; or
- c) which have arisen which would render adherence to the existing method of valuation of assets or liabilities of the Group and of the Trust misleading or inappropriate; or
- d) not otherwise dealt with in this report or the financial statements which would render any amount stated in the financial statements misleading.

At the date of this report, there does not exist:

- a) any charge on the assets of the Group and of the Trust which has arisen since the end of the financial year which secures the liability of any other person; or
- b) any contingent liability of the Group and of the Trust which has arisen since the end of the financial year.

In the opinion of the Directors:

- a) no contingent liability or other liability of the Group and of the Trust has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which will or may affect the ability of the Group and of the Trust to meet their obligations as and when they fall due;
- b) the results of the operations of the Group and of the Trust during the financial year were not substantially affected by any item, transaction or event of a material and unusual nature; and
- c) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Trust for the financial year in which this report is made.

MATERIAL LITIGATION

The Manager is not aware of any pending material litigation as at the date of statement of financial position and up to the date of this report.

HOLDING COMPANY

The Directors regard United Overseas Australia Ltd, a company incorporated in Australia and listed on the Australian Stock Exchange and the Stock Exchange of Singapore as the ultimate holding company.

INDEMNITY AND INSURANCE FOR DIRECTORS

There are no indemnity coverage and insurance premium paid for Directors of the Company during the financial year.

AUDITORS

The total amount of fees paid to or receivable by the Auditors, Grant Thornton Malaysia PLT, as remuneration for their services as auditors of the Group and of the Trust for the financial year ended 31 December 2022 are amounted to RM54,000 and RM50,000 respectively.

There was no indemnity given or insurance effected for the auditors of the Company.

The Auditors, Grant Thornton Malaysia PLT have expressed their willingness to continue in office.

Signed on behalf of the Board of Directors of UOA Asset Management Sdn Bhd in accordance with a resolution of the Board of Directors.

For and on behalf of the Manager,
UOA Asset Management Sdn Bhd

KONG SZE CHOON
Director

YAP KANG BENG
Director

Kuala Lumpur
21 February 2023

STATEMENT BY MANAGER

We, Kong Sze Choon and Yap Kang Beng, being two of the Directors of UOA Asset Management Sdn Bhd ("the Manager"), do hereby state that, in the opinion of the Directors, the financial statements set out on pages 61 to 101 are drawn up so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2022 and financial performance and cash flows of the Group and of the Trust for the financial year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards, Securities Commission's Guidelines on Listed Real Estate Investment Trusts and the provisions of the Deed dated 28 November 2005.

Signed on behalf of the Board of Directors of UOA Asset Management Sdn Bhd in accordance with a resolution of the Board of Directors.

For and on behalf of the Manager,
UOA Asset Management Sdn Bhd

KONG SZE CHOON
Director

YAP KANG BENG
Director

Kuala Lumpur
21 February 2023

STATUTORY DECLARATION

I, Kong Sze Choon, being the Director of UOA Asset Management Sdn Bhd primarily responsible for the financial management of UOA Real Estate Investment Trust, do solemnly and sincerely declare that to the best of my knowledge and belief, the financial statements set out on pages 61 to 101 are correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the Statutory Declarations Act 1960.

Subscribed and solemnly declared by
the abovenamed at Kuala Lumpur in the
Federal Territory this day of
21 February 2023

)
)
)
).....
KONG SZE CHOON

Before me:

Commissioner for Oaths

TRUSTEE'S REPORT TO THE UNITHOLDERS OF UOA REAL ESTATE INVESTMENT TRUST

(Established in Malaysia)

We have acted as Trustee of UOA Real Estate Investment Trust for the financial year ended 31 December 2022. In our opinion and to the best of our knowledge, UOA Asset Management Sdn Bhd, the Manager, has managed UOA Real Estate Investment Trust ("Trust") in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 28 November 2005, other provisions of the Deed, the Capital Markets and Services Act, 2007, the Securities Commission's Guidelines on Listed Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have ensured that the procedures and processes employed by UOA Asset Management Sdn Bhd to value and price the units of the Trust are adequate and that such valuation/pricing is carried out in accordance with the Deed and other regulatory requirements.

We also confirm that the income distributions declared and paid during the financial year ended 31 December 2022 are in line with and are reflective of the objectives of the Trust. Two distributions have been declared for the financial year ended 31 December 2022 as follows:

- (a) Interim income distribution of 4.30 sen per unit paid on 30 August 2022; and
- (b) Final income distribution of 4.32 sen per unit has been declared in subsequent year end to be paid on 28 February 2023.

For and on behalf of the Trustee,

RHB Trustees Berhad

(Registration No: 200201005356 (573019-U))

TONY CHIENG SIONG UNG

DIRECTOR

Kuala Lumpur
21 February 2023

INDEPENDENT AUDITORS' REPORT TO THE UNITHOLDERS OF UOA REAL ESTATE INVESTMENT TRUST

(Established in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of UOA Real Estate Investment Trust ("UOA REIT" or "Trust"), which comprise the statements of financial position as at 31 December 2022 of the Group and of the Trust, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of the Trust for the financial year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 61 to 101.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2022, and of their financial performance and cash flows for the financial year then ended in accordance with Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines") and the provisions of the Deed dated 28 November 2005 ("Deed").

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of the Trust in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Trust for the current financial year. These matters were addressed in the context of our audit of the financial statements of the Group and of the Trust as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

INDEPENDENT AUDITORS' REPORT TO THE UNITHOLDERS OF UOA REAL ESTATE INVESTMENT TRUST (CONTINUED)

(Established in Malaysia)

Report on the Audit of the Financial Statements (continued)

Key Audit Matters (continued)

Valuation of Investment Properties

As disclosed in Note 6 to the Financial Statements, the Group's and the Trust's investment properties that were carried at fair value amounted to RM1,716,256,000 and RM1,709,256,000 respectively as at 31 December 2022.

The investment properties are stated at fair value based on independent professional valuation using the comparison and income method. We focused on this due to the magnitude of the balance and the complexities in determining the fair value of the investment properties, which involves significant judgement and estimation that could result in material misstatement.

Audit responses

Our audit procedures performed include:

1. Evaluated the competency, capabilities and objectivity of the independent valuer.
2. Performed site visits to major properties to inspect the condition of the properties and vacant units.
3. Checked the accuracy and relevance of the input data used in the valuations.
4. Evaluated and challenged the key assumptions used in the valuations.

Information Other than the Financial Statements and Auditors' Report Thereon

The Manager is responsible for the other information. The other information comprise the information included in the annual report, but does not include the financial statements of the Group and of the Trust and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Trust does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Trust, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Trust or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Manager for the Financial Statements

The Manager is responsible for the preparation of financial statements of the Group and of the Trust that give a true and fair view in accordance with MFRS, IFRS, REIT Guidelines and the provisions of the Deed. The Manager is also responsible for such internal control as the Manager determine is necessary to enable the preparation of financial statements of the Group and of the Trust that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Trust, the Manager is responsible for assessing the Group's and the Trust's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Manager either intends to liquidate the Group or the Trust or to cease operations, or have no realistic alternative but to do so.

Report on the Audit of the Financial Statements (continued)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Trust as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Trust, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and of the Trust's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Manager.
- Conclude on the appropriateness of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or the Trust's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Trust or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Trust to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Trust, including the disclosures, and whether the financial statements of the Group and of the Trust represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

INDEPENDENT AUDITORS' REPORT TO THE UNITHOLDERS OF UOA REAL ESTATE INVESTMENT TRUST (CONTINUED)

(Established in Malaysia)

Report on the Audit of the Financial Statements (continued)

Auditors' Responsibilities for the Audit of the Financial Statements (continued)

We communicate with the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide with the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Trust for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

This report is made solely to the unitholders of the Trust, as a body, in accordance with the REIT Guidelines in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

GRANT THORNTON MALAYSIA PLT
(201906003682 & LLP0022494-LCA)
CHARTERED ACCOUNTANTS (AF 0737)

LIM SOO SIM
(NO: 03335/11/2023 J)
CHARTERED ACCOUNTANT

Kuala Lumpur
21 February 2023

STATEMENTS OF FINANCIAL POSITION

AS AT 31 DECEMBER 2022

	Note	Group		Trust	
		2022 RM	2021 RM	2022 RM	2021 RM
ASSETS					
Non-current assets					
Plant and equipment	5	909,940	377,006	909,940	377,006
Investment properties	6	1,716,256,000	1,716,200,000	1,709,256,000	1,709,200,000
Investment in a subsidiary company	7	-	-	2	2
Total non-current assets		1,717,165,940	1,716,577,006	1,710,165,942	1,709,577,008
Current assets					
Trade receivables	8	2,026,191	3,408,745	1,994,772	3,351,115
Other receivables	9	5,994,884	5,569,032	5,994,884	5,569,032
Amount owing by a subsidiary company	10	-	-	11,500,479	12,100,476
Deposits with licensed financial institutions	11	1,200,000	1,500,000	1,200,000	1,250,000
Bank balances		2,712,804	5,651,134	2,434,607	5,401,428
Total current assets		11,933,879	16,128,911	23,124,742	27,672,051
Total assets		1,729,099,819	1,732,705,917	1,733,290,684	1,737,249,059
LIABILITIES					
Non-current liabilities					
Other payables	12	10,428,307	13,921,926	10,241,135	13,921,926
Deferred tax liabilities	13	21,188,000	21,188,000	21,188,000	21,188,000
Total non-current liabilities		31,616,307	35,109,926	31,429,135	35,109,926
Current liabilities					
Other payables	12	26,401,598	21,369,906	26,304,956	21,120,613
Bank borrowings	14	675,400,000	683,199,807	675,400,000	683,199,807
Tax payable		20,416	812	-	-
Total current liabilities		701,822,014	704,570,525	701,704,956	704,320,420
Total liabilities		733,438,321	739,680,451	733,134,091	739,430,346
Net asset value		995,661,498	993,025,466	1,000,156,593	997,818,713
UNITHOLDERS' FUND					
Unitholders' capital	15	750,555,165	750,555,165	750,555,165	750,555,165
Undistributed income		245,106,333	242,470,301	249,601,428	247,263,548
Distribution to unitholders		995,661,498	993,025,466	1,000,156,593	997,818,713
Number of units in circulation		675,599,076	675,599,076	675,599,076	675,599,076
Net asset value					
- Before income distribution		995,661,498	993,025,466	1,000,156,593	997,818,713
- After income distribution *		966,475,620	963,839,588	970,970,715	968,632,835
Net asset value per unit					
- Before income distribution		1.474	1.470	1.480	1.477
- After income distribution *		1.431	1.427	1.437	1.434

* After proposed final income distribution of 4.32 sen (2021: 4.32 sen) per unit.

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2022

	Note	Group 2022 RM	2021 RM	Trust 2022 RM	2021 RM
INCOME					
Gross rental	16	114,377,165	116,353,861	113,731,892	115,736,605
Property operating expenses	17	(26,127,478)	(26,715,077)	(25,924,701)	(26,505,633)
Net rental income		88,249,687	89,638,784	87,807,191	89,230,972
Interest income		78,365	112,694	73,010	106,610
Other income		346,758	417,022	345,399	416,722
Total income		88,674,810	90,168,500	88,225,600	89,754,304
EXPENSES					
Manager's fees	18	(6,624,134)	(6,708,735)	(6,624,134)	(6,708,735)
Trustee's fees	19	(296,603)	(300,391)	(296,603)	(300,391)
Auditors' remuneration		(65,420)	(48,940)	(61,180)	(44,700)
Tax agent's fees		(25,204)	(26,336)	(19,904)	(18,930)
Valuation fees		(45,000)	(45,000)	(44,200)	(44,200)
Administration expenses		(288,408)	(180,331)	(283,309)	(174,753)
Impairment losses of financial assets		(506,683)	(2,159,713)	(479,238)	(2,159,713)
Finance costs	20	(19,747,943)	(18,871,828)	(19,747,943)	(18,871,828)
Total expenses		(27,599,395)	(28,341,274)	(27,556,511)	(28,323,250)
Fair value loss on investment properties		-	(21,900,000)	-	(21,900,000)
Net changes on financial liabilities measured at amortised cost		(94,571)	115,335	(94,571)	115,335
Income before tax		60,980,844	40,042,561	60,574,518	39,646,389
Tax (expense)/income	21	(108,174)	2,060,554	-	2,158,952
Net income/Total comprehensive income during the financial year		60,872,670	42,103,115	60,574,518	41,805,341
Net income/(loss)/Total comprehensive income/(loss) is made up as follows:					
- Realised		61,075,415	61,796,178	60,669,089	61,400,006
- Unrealised		(202,745)	(19,693,063)	(94,571)	(19,594,665)
		60,872,670	42,103,115	60,574,518	41,805,341

	Note	Group		Trust	
		2022 RM	2021 RM	2022 RM	2021 RM
Earnings per unit (Basic and diluted)	22				
- After Manager's fees (sen)		9.01	6.23	8.97	6.19
- Before Manager's fees (sen)		9.99	7.22	9.95	7.18
Net income distribution	23				
- Interim distribution of 4.30 sen (2021: 4.32 sen) paid on 30 August 2022 (2021: 30 August 2021)		29,050,760	29,185,879	29,050,760	29,185,879
- Proposed final distribution of 4.32 sen (2021: 4.32 sen) payable on 28 February 2023 (2021: 28 February 2022)		29,185,878	29,185,878	29,185,878	29,185,878
		58,236,638	58,371,757	58,236,638	58,371,757
Interim income distribution per unit *					
- Gross (sen)		4.30	4.32	4.30	4.32
- Net (sen) **		4.30	4.32	4.30	4.32
Final income distribution per unit *					
- Gross (sen)		4.32	4.32	4.32	4.32
- Net (sen) **		4.32	4.32	4.32	4.32

* Based on 675,599,076 (2021: 675,599,076) units entitled to distribution.

** Withholding tax will be deducted for the distributions made to the following categories of unitholders:

	Withholding tax rate	
	2022	2021
Resident corporate	#	-
Resident non-corporate	10%	10%
Non-resident individual	10%	10%
Non-resident corporate	24%	24%
Non-resident institutional	10%	10%

No withholding tax; to tax at prevailing tax rate

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN NET ASSET VALUE

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2022

	Note	Unitholders' capital RM	Undistributed Income		Sub-total RM	Total RM
			Realised RM	Unrealised RM		
Group						
Balance as at 1 January 2021		750,745,631	54,333,416	175,219,649	229,553,065	980,298,696
Net income/(loss)/ Total comprehensive income/(loss) for the financial year		-	61,796,178	(19,693,063)	42,103,115	42,103,115
Unitholders' transactions:						
- New units issuance expenses		(190,466)	-	-	-	(190,466)
- Distribution to unitholders	23	-	(29,185,879)	-	(29,185,879)	(29,185,879)
Total unitholders' transactions		(190,466)	(29,185,879)	-	(29,185,879)	(29,376,345)
Balance as at 31 December 2021		750,555,165	86,943,715	155,526,586	242,470,301	993,025,466
Net income/ (loss)/Total comprehensive income/(loss) for the financial year		-	61,075,415	(202,745)	60,872,670	60,872,670
Unitholders' transactions:						
- Distribution to unitholders	23	-	(58,236,638)	-	(58,236,638)	(58,236,638)
Balance as at 31 December 2022		750,555,165	89,782,492	155,323,841	245,106,333	995,661,498

Note	Unitholders' capital RM	Undistributed Income			Total RM
		Realised RM	Unrealised RM	Sub-total RM	
Trust					
Balance as at 1 January 2021	750,745,631	59,244,865	175,399,221	234,644,086	985,389,717
Net income/(loss)/ Total comprehensive income/(loss) for the financial year	-	61,400,006	(19,594,665)	41,805,341	41,805,341
Unitholders' transactions:					
- New units issuance expenses		(190,466)	-	-	(190,466)
- Distribution to unitholders	23	-	(29,185,879)	-	(29,185,879)
Total unitholders' transactions		(190,466)	(29,185,879)	-	(29,376,345)
Balance as at 31 December 2021	750,555,165	91,458,992	155,804,556	247,263,548	997,818,713
Net income/ (loss)/Total comprehensive income/(loss) for the financial year	-	60,669,089	(94,571)	60,574,518	60,574,518
Unitholders' transactions:					
- Distribution to unitholders	23	-	(58,236,638)	-	(58,236,638)
Balance as at 31 December 2022	750,555,165	93,891,443	155,709,985	249,601,428	1,000,156,593

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2022

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
CASH FLOWS FROM OPERATING ACTIVITIES				
Income before tax	60,980,844	40,042,561	60,574,518	39,646,389
Adjustments for :				
Impairment losses of financial assets	506,683	2,159,713	479,238	2,159,713
Bad debts written off	111,641	-	111,641	-
Depreciation	94,886	56,370	94,886	56,370
Fair value loss on investment properties	-	21,900,000	-	21,900,000
Plant and equipment written off	3,450	1,409	3,450	1,409
Net changes on financial liabilities measured at amortised cost	94,571	(115,335)	94,571	(115,335)
Interest income	(78,365)	(112,694)	(73,010)	(106,610)
Interest expense	19,747,943	18,871,828	19,747,943	18,871,828
Operating profit before working capital changes	81,461,653	82,803,852	81,033,237	82,413,764
Changes in working capital :				
Receivables	338,378	8,733,270	339,612	8,772,342
Payables	1,382,645	(1,857,461)	1,348,124	(1,863,321)
Cash generated from operating activities	83,182,676	89,679,661	82,720,973	89,322,785
Tax paid	(88,570)	(113,897)	-	-
Net cash from operating activities	83,094,106	89,565,764	82,720,973	89,322,785
CASH FLOWS FROM INVESTING ACTIVITIES				
Purchase of plant and equipment	(631,270)	(10,315)	(631,270)	(10,315)
Enhancements to investment properties	(56,000)	-	(56,000)	-
Interest income	78,365	112,694	73,010	106,610
Repayment from a subsidiary company	-	-	599,997	500,053
Net cash (used in)/from investing activities	(608,905)	102,379	(14,263)	596,348
CASH FLOWS FROM FINANCING ACTIVITIES				
Drawdown of bank borrowings	229,000,000	22,300,000	229,000,000	22,300,000
Repayment of bank borrowings	(236,799,807)	(43,122,693)	(236,799,807)	(43,122,693)
Interest paid	(19,687,086)	(18,871,120)	(19,687,086)	(18,871,120)
New units issuance expenses	-	(190,466)	-	(190,466)
Distribution to unitholders	(58,236,638)	(48,045,960)	(58,236,638)	(48,045,960)
Net cash used in financing activities	(85,723,531)	(87,930,239)	(85,723,531)	(87,930,239)
CASH AND CASH EQUIVALENTS				
Net changes	(3,238,330)	1,737,904	(3,016,821)	1,988,894
Brought forward	7,151,134	5,413,230	6,651,428	4,662,534
Carried forward	3,912,804	7,151,134	3,634,607	6,651,428

NOTES TO THE STATEMENTS OF CASH FLOWS

Cash and cash equivalents included in the Statements of Cash Flows comprise the following :

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
Bank balances	2,712,804	5,651,134	2,434,607	5,401,428
Deposits with licensed financial institutions	1,200,000	1,500,000	1,200,000	1,250,000
	3,912,804	7,151,134	3,634,607	6,651,428

RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
Bank borrowings				
As at 1 January	683,199,807	704,022,500	683,199,807	704,022,500
Drawdown	229,000,000	22,300,000	229,000,000	22,300,000
Repayment	(236,799,807)	(43,122,693)	(236,799,807)	(43,122,693)
As at 31 December	675,400,000	683,199,807	675,400,000	683,199,807

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022

1. GENERAL INFORMATION

UOA Real Estate Investment Trust ("UOA REIT" or "Trust") was constituted under a Deed dated 28 November 2005 ("Deed"), by the Manager, UOA Asset Management Sdn Bhd ("Manager") and RHB Trustees Berhad ("Trustee"). UOA REIT commenced operations on 1 December 2005.

UOA REIT was listed on the Main Market of Bursa Malaysia Securities Berhad on 30 December 2005. The principal activity of UOA REIT is investment in real estate and real estate-related assets used, or predominantly used, for commercial purposes, whether directly or indirectly through the ownership of single-purpose companies which wholly own real estate. There has been no significant change in the nature of this activity during the financial year.

The Manager, a company incorporated in Malaysia, is a subsidiary of UOA Corporation Berhad, (a subsidiary of UOA Holdings Sdn Bhd which in turn, is a wholly owned subsidiary of United Overseas Australia Ltd, a company incorporated in Australia and listed on the Australian Stock Exchange and the Stock Exchange of Singapore). The principal activity of the Manager is the management of real estate investment trusts. There has been no significant change in the nature of this activity during the financial year.

The principal activity of the subsidiary company is disclosed in Note 7 to the Financial Statements.

The consolidated financial statements reported for the financial year ended 31 December 2022 relates to the Trust and its subsidiary company ("the Group").

The financial statements were approved by the Manager's Board of Directors in accordance with a resolution of the Directors passed on 21 February 2023.

2. TERM OF THE TRUST

UOA REIT will continue its operations until such time as determined by the Trustee and the Manager as provided under the provisions of Clause 26 of the Deed.

3. BASIS OF PREPARATION

3.1 Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the Deed and the Securities Commission's Guidelines on Listed Real Estate Investment Trusts.

3. BASIS OF PREPARATION (CONTINUED)

3.2 Basis of measurement

The financial statements of the Group and of the Trust are prepared under the historical cost convention, except for investment properties that have been measured at fair value.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible to by the Group and by the Trust.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial market takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group and the Trust use valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to their fair value measurement as a whole:

- Level 1: Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2: Valuation techniques for which the lowest level input that is significant to their fair value measurement is directly or indirectly observable
- Level 3: Valuation techniques for which the lowest level input that is significant to their fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group and the Trust determine whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to their fair value measurement as a whole) at the end of each reporting date.

For the purpose of fair value disclosures, the Group and the Trust have determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of fair value hierarchy as explained above.

3.3 Functional and presentation currency

The financial statements are presented in Ringgit Malaysia ("RM") which is the Group's and the Trust's functional currency and all values are rounded to the nearest RM except when otherwise stated.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

3. BASIS OF PREPARATION (CONTINUED)

3.4 Adoption of new standards/amendments/improvements to MFRSs

The Group and the Trust have consistently applied the accounting policies set out in Note 4 to all years presented in these financial statements.

At the beginning of the current financial year, the Group and the Trust adopted new standards/amendments/improvements to MFRSs which are mandatory for the financial years beginning on or after 1 January 2022.

Initial application of the new standards/amendments/improvements to financial standards did not have material impact to the Financial Statements.

3.5 Standards issued but not yet effective

The new and amended standards and interpretations that are issued, but not yet effective are disclosed below. The Group and the Trust intend to adopt these new and amended standards and interpretations, if applicable, when they become effective :

MFRS and amendments to MFRSs effective 1 January 2023:

MFRS 17 and amendments to MFRS 17*	Insurance Contracts
Amendments to MFRS 17*	Initial Application of MFRS 7 and MFRS 9 – Comparative Information
Amendments to MFRS 101	Classification of Liabilities as Current or Non-Current
Amendments to MFRS 101	Disclosure of Accounting Policies
Amendments to MFRS 108	Definition of Accounting Estimates
Amendments to MFRS 112	Deferred Tax related to Assets and Liabilities arising from a Single Transaction

Amendments to MFRSs effective 1 January 2024:

Amendments to MFRS 16*	Lease Liability in a Sale and Leaseback
Amendments to MFRS 101*	Non-Current Liabilities with Covenants

Amendments to MFRSs - effective date deferred indefinitely:

Amendments to MFRS 10* and 128*	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture
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* Not applicable to the Group's and the Trust's operations

The initial application of the above standards, amendments and interpretation are not expected to have any financial impacts to the financial statements.

3. BASIS OF PREPARATION (CONTINUED)

3.6 Significant accounting estimates and judgements

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Group's and the Trust's accounting policies and reported amounts of assets, liabilities, income and expenses, and disclosures made. Estimates and underlying assumptions are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances. The actual result may differ from the judgements, estimates and assumptions made by management, and will seldom equal the estimated results.

3.6.1 Estimation uncertainty

Information about significant judgements, estimates and assumptions that have the most significant effect on recognition and measurement of assets, liabilities, income and expenses are discussed below.

Useful lives of depreciable assets

Plant and equipment are depreciated on a straight-line basis over their useful lives. Management estimates the useful lives of the depreciable assets to be within 5 to 10 years and reviews the useful lives of depreciable assets at each reporting date. As at the reporting date, management assesses that the useful lives represent the expected utility of the assets to the Group and to the Trust. Actual results, however, may vary due to change in the expected level of usage and technological developments, which may result in adjustments to the Group's and to the Trust's assets.

Fair value of investment properties

The Group and the Trust measure their investment properties at fair value with changes in fair value being recognised in profit or loss. Significant judgement is required in the determination of fair value which may be derived based on different valuation method. In making the judgement, the Group and the Trust evaluate based on past experience and reliance on the work of specialists. The Group and the Trust engage independent valuation specialists to determine fair values.

The carrying amount of investment properties at the end of the reporting year and the relevant revaluation bases are disclosed in the Note 6 to the Financial Statements.

Impairment of non-financial assets

An impairment loss is recognised for the amount by which the asset's or cash-generating unit's carrying amount exceeds its recoverable amount. To determine the recoverable amount, management estimates expected future cash flows from each asset or cash-generating unit and determines a suitable interest rate in order to calculate the present value of those cash flows. In the process of measuring expected future cash flows, management makes assumptions about future operating results. The actual results may vary, and may cause significant adjustments to the Group's and to the Trust's assets within the next financial year.

In most cases, determining the applicable discount rate involves estimating the appropriate adjustments to market risk and the appropriate adjustment to asset-specific risk factors.

Provision for expected credit losses ("ECL") of trade receivables

The Group and the Trust use a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due of outstanding debts.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

3. BASIS OF PREPARATION (CONTINUED)

3.6 Significant accounting estimates and judgements (continued)

3.6.1 Estimation uncertainty (continued)

Provision for expected credit losses ("ECL") of trade receivables (continued)

The provision matrix is initially based on the Group's and on the Trust's historical observed default rates. The Group and the Trust will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults in the Group's and the Trust's related economic sector, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's and the Trust's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Group's and the Trust's trade receivables is disclosed in Note 32 to the Financial Statements.

Income taxes

Significant judgement is involved in determining the capital allowances and deductibility of expenses during the estimation of the provision for income tax. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business.

The Group and the Trust recognise liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the year in which such determination is made.

3.6.2 Significant management judgements

The following are significant management judgements in applying the accounting policies of the Group and of the Trust that have the most significant effect on these financial statements.

Classification between investment properties and owner-occupied properties

The Group and the Trust determine whether properties qualify as investment properties and have developed the criteria in making that judgement. Investment properties are properties held to earn rentals or for capital appreciation or both.

Certain properties comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes. The Group and the Trust account for the portions separately if the portions could be sold separately (or leased out separately under a finance lease). If the portions could not be sold separately, the properties are investment properties only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes.

Judgement is made on an individual property basis to determine whether ancillary services are so significant that a property does not qualify as an investment property.

3. BASIS OF PREPARATION (CONTINUED)

3.6 Significant accounting estimates and judgements (continued)

3.6.2 Significant management judgements (continued)

Deferred tax on investment properties

For the purposes of measuring deferred tax liabilities arising from investment properties that are measured using the fair value model, the management of the Group and the Trust review the investment properties and concluded that the Group's and the Trust's investment properties are held under a business model whose objective is to recover the carrying amount of the investment properties through sale.

Accordingly, the Group and the Trust recognise deferred taxes in respect of the changes in fair value of investment properties based on Real Property Gains Tax ("RPGT"). The final tax outcome could be different from the deferred tax liabilities recognised in the financial statements should the economic benefits embodied in the investment properties be subsequently substantially consumed over time rather than through sale.

4. SIGNIFICANT ACCOUNTING POLICIES

The Group and the Trust apply the significant accounting policies, as summarised below, consistently throughout all years presented in the financial statements, unless otherwise stated.

4.1 Consolidation

4.1.1 Subsidiary company

Subsidiary company is entity, including structured entity, controlled by the Trust. Control exists when the Group is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Potential voting rights are considered when assessing control only when such rights are substantive. Besides, the Group considers it has de facto power over an investee when, despite not having the majority of voting rights, it has the current ability to direct the activities of the investee that significantly affect the investee's return.

Investment in subsidiary company is stated at cost less any impairment losses in the Trust's financial position, unless the investment is held for sale or distribution.

Upon the disposal of investment in a subsidiary company, the difference between the net disposal proceeds and its carrying amount is included in profit or loss.

4.1.2 Basis of consolidation

The Group financial statements consolidate the audited financial statements of the Trust and its subsidiary, which have been prepared in accordance with the Group's accounting policies. Amounts reported in the financial statements of subsidiary have been adjusted where necessary to ensure consistency with the accounting policies adopted by the Group. The financial statements of the Trust and its subsidiary are all drawn up to the same reporting date.

All intra-group balances, transactions, income and expenses are eliminated in full on consolidation and the consolidated financial statements reflect external transactions only.

Subsidiary is consolidated from the date on which control is transferred to the Group and are no longer consolidated from the date that control ceases.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.1 Consolidation (continued)

4.1.2 Basis of consolidation (continued)

Changes in the Trust owners' ownership interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions between the Group and non-controlling interest holders. In such circumstances, the carrying amounts of the controlling and non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiary. Any difference between the amount by which the non-controlling interest is adjusted and the fair value of the consideration paid or received is recognised directly in equity.

4.1.3 Loss of control

When the Trust loses control of a subsidiary :

- (i) It derecognises the assets and liabilities, non-controlling interests, and other amounts previously recognised in other comprehensive income relating to the former subsidiary.
- (ii) It recognises any gain or loss in profit or loss attributable to the Group, which is calculated as the difference between (i) the aggregate of the fair value of the consideration received, if any, from the transaction, event or circumstances that resulted in the loss of control; plus any investment retained in the former subsidiary at its fair value at the date when control is lost; and (ii) the net carrying amount of assets, liabilities, goodwill and any non-controlling interests attributable to the former subsidiary at the date when control is lost.
- (iii) It recognises any investment retained in the former subsidiary at its fair value when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant MFRS. That fair value shall be regarded as the fair value on initial recognition of a financial asset or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

4.2 Plant and equipment

All plant and equipment are initially stated at cost. The cost of an item of plant and equipment is recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the Group and to the Trust and the cost of the item can be measured reliably.

Cost includes expenditures that are directly attributable to the acquisition of the assets and any other costs directly attributable to bringing the assets to working condition for its intended use, cost of replacing component parts of the assets, and the present value of the expected cost for the decommissioning of the assets after their use. All other repair and maintenance costs are recognised in profit or loss as incurred.

All plant and equipment are subsequently stated at cost less accumulated depreciation and less any impairment losses. When significant parts of plant and equipment are required to be replaced in intervals, the Group and the Trust recognise such costs as individual assets with specific useful lives and depreciation respectively. All other repair and maintenance costs are recognised in profit or loss as incurred.

Plant and equipment are written down to recoverable amount if, in the opinion of the Managers, it is less than their carrying value. Recoverable amount is the net selling price of the plant and equipment, that is the amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal.

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.2 Plant and equipment (continued)

Depreciation is recognised on the straight-line method in order to write off the cost of each asset over its estimated useful life. The principal annual depreciation rates used are as follows :

Office equipment	10%
Computer	20%
Office renovation	10%

Fully depreciated assets are retained in the financial statements until they are no longer in use and no further charge for depreciation is made in respect of these assets.

Restoration cost relating to an item of plant and equipment is capitalised only if such expenditure is expected to increase the future benefits from the existing asset beyond its previously assessed standard of performance.

The residual values, useful lives and depreciation method are reviewed for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable, or at least annually to ensure that the amount, method and rate of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

Plant and equipment are derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Gains or losses arising on the disposal of plant and equipment are determined as the difference between the disposal proceeds and the carrying amounts of the assets and are recognised in profit or loss in the financial year in which such asset is derecognised.

4.3 Investment properties

Investment properties are properties which are owned to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment properties are initially measured at cost, including transaction cost. Cost includes expenditures that are directly attributable to the acquisition of the investment properties.

Subsequent to initial recognition, investment properties are measured at fair value and are revalued annually and are included in the statements of financial position at their open market values. Any gain or loss resulting from either a change in the fair value or the sale of investment properties are immediately recognised in profit or loss in the period in which they arise. The fair values are determined by external professional valuers with sufficient experience with respect to both the location and the nature of the investment properties and are supported by market evidence.

Investment properties are derecognised when either they are disposed off or when they are permanently withdrawn from use and no future economic benefit is expected from the disposal. Any gain or loss on the retirement or disposal of an investment property is recognised in the profit or loss in the financial year of retirement or disposal.

Transfers are made to or from investment properties only when there is a change in use. For a transfer from investment properties to owner-occupied properties, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied properties becomes an investment properties, the Group and the Trust account for such properties in accordance with the policy stated under plant and equipment up to the date of change.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.4 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

4.4.1 Financial assets

Initial recognition and measurement

Financial assets are classified, at initial recognition as subsequently measured at amortised cost, fair value through other comprehensive income ("OCI") and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's and the Trust's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group and the Trust have applied the practical expedient, the Group and the Trust initially measure a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group and the Trust have applied the practical expedient are measured at the transaction price.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest ("SPPI")' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Group's and the Trust's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets are classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e. the date that the Group and the Trust commit to purchase or sell the asset.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories :

- Financial assets at amortised cost (debt instruments).
- Financial assets at fair value through OCI with recycling of cumulative gains and losses(debt instruments).
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments).
- Financial assets at fair value through profit or loss.

At the reporting date, the Group and the Trust carry only financial assets at amortised cost on their statements of financial position.

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.4 Financial instruments (continued)

4.4.1 Financial assets (continued)

Subsequent measurement (continued)

Financial assets at amortised cost

Financial assets at amortised cost are subsequently measured using the effective interest ("EIR") method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired. The Group's and the Trust's financial assets at amortised cost include trade and other receivables, amount owing by a subsidiary company and cash and cash equivalents.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised when :

- The rights to receive cash flows from the asset have expired; or
- The Group and the Trust have transferred its rights to receive cash flows from the asset or have assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group and the Trust have transferred substantially all the risks and rewards of the asset, or (b) the Group and the Trust have neither transferred nor retained substantially all the risks and rewards of the asset but have transferred control of the asset.

When the Group and the Trust have transferred their rights to receive cash flows from an asset or has entered into a passthrough arrangement, they evaluate if, and to what extent, have retained the risks and rewards of ownership. When they have neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group and the Trust continue to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group and the Trust also recognise an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group and the Trust have retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group and the Trust could be required to repay.

Impairment

The Group and the Trust recognise an allowance for expected credit losses (ECLs) on financial assets measured at amortised cost. Expected credit losses are a probability-weighted estimate of credit losses.

The Group and the Trust measure loss allowances at an amount equal to lifetime expected credit loss, except for debt securities that are determined to have low credit risk at the reporting date, cash and bank balance and other debt securities for which credit risk has not increased significantly since initial recognition, which are measured at 12-month expected credit loss. Loss allowances for trade receivables and lease receivables are always measured at an amount equal to lifetime expected credit loss.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.4 Financial instruments (continued)

4.4.1 Financial assets (continued)

Impairment (continued)

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating expected credit loss, the Group and the Trust consider reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's and the Trust's historical experience and informed credit assessment and including forward-looking information, where available.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of the asset, while 12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date. The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Group and the Trust are exposed to credit risk.

The Group and the Trust estimate the expected credit losses on trade receivables using a provision matrix with reference to historical credit loss experience.

An impairment loss in respect of financial assets measured at amortised cost is recognised in profit or loss and the carrying amount of the asset is reduced through the use of an allowance account.

At each reporting date, the Group and the Trust assess whether the financial assets carried at amortised cost are credit-impaired. A financial asset is credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

The gross carrying amount of a financial asset is written off (either partially or full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group and the Trust determine that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's or the Trust's procedures for recovery amounts due.

4.4.2 Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified in two categories :

- Financial liabilities at fair value through profit or loss
- Financial liabilities at amortised cost

At the reporting date, the Group and the Trust carry only financial liabilities at amortised cost on their statements of financial position.

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.4 Financial instruments (continued)

4.4.2 Financial liabilities (continued)

Subsequent measurement (continued)

Financial liabilities at amortised cost

After initial recognition, carrying amounts are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statements of profit or loss.

The Group's and the Trust's financial liabilities include other payables and bank borrowings.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statements of profit or loss.

4.4.3 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statements of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

4.5 Impairment of non-financial assets

At each reporting date, the Group and the Trust review the carrying amounts of their non-financial assets to determine whether there is any indication of impairment by comparing its carrying amount with its recoverable amount. Recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. For the purpose of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash generating units).

In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Where the carrying amount of an asset exceeds its recoverable amount, the asset is written down to its recoverable amount. Impairment losses recognised in respect of a cash-generating unit or groups of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to those units or group of units and then, to reduce the carrying amount of the other assets in the unit or groups of units on a pro-rata basis.

An impairment loss is recognised as an expense in the profit or loss immediately.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.5 Impairment of non-financial assets (continued)

An assessment is made at each end of the reporting year as to whether there is any indication that previously recognised impairment losses for an asset other than goodwill may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset recoverable amount since the last impairment loss was recognised. The increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

4.6 Cash and cash equivalents

Cash and cash equivalents comprise bank balances and deposits with licensed financial institutions which are readily convertible to known amount of cash and which are subject to an insignificant risk of changes in value.

4.7 Borrowing costs

Borrowing costs consist of interest and other costs that the Group and the Trust incurred in connection with the borrowing of funds.

Borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period of time that is necessary to complete and prepare the asset for its intended use or sale. Capitalisation of borrowing costs commences when the activities to prepare the asset for its intended use or sale are in progress and the expenditures and borrowing costs are incurred. Borrowing costs are capitalised until the assets are substantially completed for their intended use or sale. Other borrowing costs are expensed in the year in which they incurred.

4.8 Leases

The Group and the Trust assess at contract inception whether a contract is, or contains a lease, that is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

As lessor

Leases in which the Group and the Trust do not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the statements of profit or loss due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

4.9 Revenue

4.9.1 Rental income

Rental income is recognised on a straight-line basis over the specific tenure of the respective leases. Lease incentives and rebates granted are recognised as an integral part of the total rental income, over the term of the lease.

4.9.2 Interest income

Interest income is recognised on a time proportion basis.

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.10 Tax expense

4.10.1 Current tax

Current tax is the expected amount of income taxes payable in respect of the taxable profit for the financial year and are measured using tax rates that have been enacted by the end of reporting year and any adjustment to tax payable in respect of previous years.

Current tax is recognised in the statements of financial position as a liability (or an asset) to the extent that it is unpaid (or refundable).

4.10.2 Deferred tax

Deferred tax is recognised using the liabilities method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantially enacted by the end of the reporting date.

Where investment properties are carried at their fair value in accordance with the accounting policy set out in Note 4.3 to the Financial Statements, the amount of deferred tax recognised is measured using the tax rates that would apply on sale of those assets at their carrying value at the reporting date unless the property is depreciable and is held with the objective to consume substantially all of the economic benefits embodied in the property over time, rather than through sale. In all other cases, the amount of deferred tax recognised is measured based on the expected manner of realisation or settlement of the carrying amount of the assets and liabilities, using tax rates enacted or substantively enacted at the reporting date. Deferred tax assets and liabilities are not discounted.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

4.11 Earnings per unit

The earnings per unit ("EPU") are presented on basic and diluted format.

Basic EPU is calculated by dividing the profit or loss attributable to unitholders by the weighted average number of units outstanding during the year.

Diluted EPU is determined by adjusting the profit or loss attributable to unitholders against the weighted average number of units outstanding adjusted for the effects of all dilutive potential units.

4.12 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker who is responsible for allocating resources, assessing performance of the operating segments and making strategic decisions for the Group.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

5. PLANT AND EQUIPMENT

Group and Trust	Office equipment RM	Computer RM	Office renovation RM	Total RM
Cost				
At 1.1.2021	426,732	22,680	142,353	591,765
Additions	10,315	-	-	10,315
Written off	(2,350)	-	-	(2,350)
At 31.12.2021	434,697	22,680	142,353	599,730
Additions	631,270	-	-	631,270
Written off	(6,900)	-	-	(6,900)
At 31.12.2022	1,059,067	22,680	142,353	1,224,100
Accumulated depreciation				
At 1.1.2021	136,721	12,033	18,541	167,295
Charge for the year	38,182	3,956	14,232	56,370
Written off	(941)	-	-	(941)
At 31.12.2021	173,962	15,989	32,773	222,724
Charge for the year	79,076	3,630	12,180	94,886
Written off	(3,450)	-	-	(3,450)
At 31.12.2022	249,588	19,619	44,953	314,160
Net carrying amount				
31.12.2022	809,479	3,061	97,400	909,940
31.12.2021	260,735	6,691	109,580	377,006

6. INVESTMENT PROPERTIES

	Group RM	Trust RM
At 1.1.2021	1,738,100,000	1,731,100,000
Fair value adjustment	(21,900,000)	(21,900,000)
At 31.12.2021	1,716,200,000	1,709,200,000
Additions	56,000	56,000
At 31.12.2022	1,716,256,000	1,709,256,000

Investment properties as at 31 December 2022 are stated at fair value based on update valuations conducted by an independent firm of professional valuers registered with the Board of Valuers, Appraisers & Estate Agents Malaysia using the comparison and income method of valuation.

The fair value represents the amount at which the properties could be exchanged on an open market basis between a knowledgeable willing buyer and a knowledgeable willing seller in an arm's length transaction at the reporting date. The fair value should also reflect market conditions at the reporting date.

In arriving at the updated market value, the Valuer has applied the comparison and income method to assess the market value of the investment properties as at the reporting date.

The fair value of investment properties is classified under Level 3.

Details of Level 3 fair value measurements are as follows:

Valuation method and key inputs	Significant unobservable inputs	Relationship of unobservable inputs and fair value
Income method which capitalises the actual or estimated rental income stream, net of projected operating costs, using a discount rate derived from market yields	Discount rate of 5.00% to 6.25% (2021: 5.00% to 6.25%)	The higher the discount rate, the lower the fair value
	Estimated market yield of 5.00% to 6.25% (2021: 5.00% to 6.25%)	The higher the estimated market yield, the lower the fair value
	Occupancy rate of 69.75% to 92.27% (2021: 71.48% to 93.16%)	The higher the occupancy rate, the higher the fair value

All land/strata titles are registered in the name of the Trustee.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

6. INVESTMENT PROPERTIES (CONTINUED)

Group

Description of properties	Tenure	Acquisition cost RM	Date of last valuation	Last valuation RM	Fair value RM	Percentage of fair value to the Group's Net Asset Value %
As at 31 December 2022						
UOA Centre Parcels	Freehold	55,981,272	31.12.2022	78,000,000	78,000,000	7.83
UOA II Parcels	Freehold	194,502,300	31.12.2022	281,000,000	281,000,000	28.22
UOA Damansara Parcels	Freehold	72,000,000	31.12.2022	114,900,000	114,900,000	11.54
Wisma UOA Damansara II	Freehold	211,000,000	31.12.2022	224,300,000	224,356,000	22.53
Parcel B – Menara UOA Bangsar	Leasehold	287,760,483	31.12.2022	300,000,000	300,000,000	30.13
UOA Corporate Tower	Leasehold	701,653,564	31.12.2022	718,000,000	718,000,000	72.11
		1,522,897,619		1,716,200,000	1,716,256,000	
As at 31 December 2021						
UOA Centre Parcels	Freehold	55,981,272	31.12.2021	78,000,000	78,000,000	7.85
UOA II Parcels	Freehold	194,502,300	31.12.2021	281,000,000	281,000,000	28.30
UOA Damansara Parcels	Freehold	72,000,000	31.12.2021	114,900,000	114,900,000	11.57
Wisma UOA Damansara II	Freehold	211,000,000	31.12.2021	224,300,000	224,300,000	22.59
Parcel B – Menara UOA Bangsar	Leasehold	287,760,483	31.12.2021	300,000,000	300,000,000	30.21
UOA Corporate Tower	Leasehold	701,653,564	31.12.2021	718,000,000	718,000,000	72.30
		1,522,897,619		1,716,200,000	1,716,200,000	

The valuations were conducted by PA International Property Consultants (KL) Sdn Bhd, an independent firm of professional valuers registered with the Board of Valuers, Appraisers & Estate Agents Malaysia, using the comparison and income method of valuation.

6. INVESTMENT PROPERTIES (CONTINUED)

Trust

Description of properties	Tenure	Acquisition cost RM	Date of last valuation	Last valuation RM	Fair value RM	Percentage of fair value to the Group's Net Asset Value %
As at 31 December 2022						
UOA Centre Parcels	Freehold	55,981,272	31.12.2022	78,000,000	78,000,000	7.80
UOA II Parcels	Freehold	194,502,300	31.12.2022	281,000,000	281,000,000	28.10
UOA Damansara Parcels	Freehold	72,000,000	31.12.2022	114,900,000	114,900,000	11.49
Wisma UOA Damansara II	Freehold	211,000,000	31.12.2022	224,300,000	224,356,000	22.43
Parcel B – Menara UOA Bangsar	Leasehold	278,778,785	31.12.2022	293,000,000	293,000,000	29.30
UOA Corporate Tower	Leasehold	701,653,564	31.12.2022	718,000,000	718,000,000	71.79
		1,513,915,921		1,709,200,000	1,709,256,000	
As at 31 December 2021						
UOA Centre Parcels	Freehold	55,981,272	31.12.2021	78,000,000	78,000,000	7.82
UOA II Parcels	Freehold	194,502,300	31.12.2021	281,000,000	281,000,000	28.16
UOA Damansara Parcels	Freehold	72,000,000	31.12.2021	114,900,000	114,900,000	11.52
Wisma UOA Damansara II	Freehold	211,000,000	31.12.2021	224,300,000	224,300,000	22.48
Parcel B – Menara UOA Bangsar	Leasehold	278,778,785	31.12.2021	293,000,000	293,000,000	29.36
UOA Corporate Tower	Leasehold	701,653,564	31.12.2021	718,000,000	718,000,000	71.96
		1,513,915,921		1,709,200,000	1,709,200,000	

The valuations were conducted by PA International Property Consultants (KL) Sdn Bhd, an independent firm of professional valuers registered with the Board of Valuers, Appraisers & Estate Agents Malaysia, using the comparison and income method of valuation.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

6. INVESTMENT PROPERTIES (CONTINUED)

As at 31 December 2022, UOA II Parcels, UOA Damansara Parcels, Wisma UOA Damansara II, Parcel B – Menara UOA Bangsar (excluding Petak 9 and 14) and UOA Corporate Tower with an aggregate carrying amount of RM1,631,256,000 (2021: RM1,631,200,000) have been pledged as security for borrowings referred to in Note 14 to the Financial Statements.

The direct operating expenses are disclosed in Note 17 to the Financial Statements.

7. INVESTMENT IN A SUBSIDIARY COMPANY

	Trust	
	2022 RM	2021 RM
Unquoted shares, at cost	2	2

The details of the subsidiary company is as follows:

	Principal place of business	Equity interest	Principal activity
		2022 %	2021 %
Angkara Restu Sdn Bhd	Malaysia	100	100
			Property investment

8. TRADE RECEIVABLES

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
Trade receivables	6,318,238	7,305,750	6,259,374	7,248,120
Less: Allowance for expected credit losses				
As at 1 January	(3,897,005)	(1,737,292)	(3,897,005)	(1,737,292)
Additions	(1,156,404)	(2,465,086)	(1,128,959)	(2,465,086)
Reversal	649,721	305,373	649,721	305,373
Written off	111,641	-	111,641	-
As at 31 December	(4,292,047)	(3,897,005)	(4,264,602)	(3,897,005)
	2,026,191	3,408,745	1,994,772	3,351,115

The credit term for monthly rental from tenants is 14 (2021: 14) days.

Allowance for expected credit losses was reversed as a result of receipts during the financial year.

Included in trade receivables of the Group and of the Trust was amount owing by companies related to the Manager amounting to RM114,371 in previous financial year.

9. OTHER RECEIVABLES

	Group and Trust	
	2022 RM	2021 RM
Non-trade receivables	2,563,578	2,424,082
Deposits	3,288,048	2,992,218
Prepayment	143,258	152,732
	5,994,884	5,569,032

Included in non-trade receivables of the Group and of the Trust is amount owing by companies related to the Manager amounting to RM162,006 (2021: Nil).

10. AMOUNT OWING BY A SUBSIDIARY COMPANY

The amount owing by a subsidiary company represents interest free advances which are unsecured and expected to be repaid in the next 12 months.

11. DEPOSITS WITH LICENSED FINANCIAL INSTITUTIONS

The effective interest rates of deposits ranged between 1.25% to 2.65% (2021: 1.25% to 1.65%) per annum. The deposits had maturity terms of one month or less.

12. OTHER PAYABLES

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
Non-current				
Tenants' deposits	10,428,307	13,921,926	10,241,135	13,921,926
Current				
Amount owing to the Manager	566,982	587,030	566,982	586,986
Amount owing to companies related to the Manager	83,780	62,877	83,780	62,877
Non-trade payables	980,477	245,975	979,809	245,004
Interest payables	544,123	483,266	544,123	483,266
Accruals	1,864,432	1,461,324	1,851,229	1,450,230
Tenants' deposits	20,929,536	17,010,229	20,902,402	16,828,682
Rental received in advance	1,432,268	1,519,205	1,376,631	1,463,568
	26,401,598	21,369,906	26,304,956	21,120,613
	36,829,905	35,291,832	36,546,091	35,042,539

The amount owing to the Manager which represents management fee payable and the amounts owing to companies related to the Manager are unsecured and expected to be settled within the normal credit period of 30 (2021: 30) days.

Included in tenants' deposits refundable within 12 months of the Group and of the Trust are deposits received from companies related to the Manager amounting to RM3,979,749 (2021: RM4,510,378).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

13. DEFERRED TAX LIABILITIES

	Group and Trust	
	2022 RM	2021 RM
At 1 January	21,188,000	23,378,000
Charged to profit or loss (Note 21)	-	(2,190,000)
At 31 December	21,188,000	21,188,000

The deferred tax liabilities represent the tax effects of RPGT on fair value adjustment of investment properties.

14. BANK BORROWINGS

	Group and Trust	
	2022 RM	2021 RM
<u>Secured</u>		
Revolving credit I	4,400,000	-
Revolving credit II	156,000,000	156,000,000
Revolving credit III	93,000,000	105,199,807
Revolving credit IV	422,000,000	422,000,000
	675,400,000	683,199,807

Revolving credit I is secured by a legal charge over Wisma UOA Damansara II.

Revolving credit II is secured by Loan Agreements cum Assignment, Deeds of Extension of Deed of Assignment, Deeds of Assignment of Rental Proceeds ("DARP"), Deeds of Extension of DARP and four (4) Powers of Attorney, and legal charges over UOA Damansara Parcels and Parcel B - Menara UOA Bangsar (excluding Petak 9 and 14).

Revolving credit III is secured by a legal charge over UOA II Parcels.

Revolving credit IV is secured by a legal charge over UOA Corporate Tower.

The revolving credits are subject to periodic review and repayable on demand. The Manager is of the opinion that the facility will be rolled over and remain available in the long term.

The effective interest/profit rates of the borrowings ranging from 3.65% to 3.76% (2021: 2.62% to 2.67%) per annum except revolving credit IV with the fixed interest rate of 2.75% (2021:2.75%) per annum.

Changes in borrowings arising from financing activities pertain to drawdown and repayment made in the statements of cash flows.

15. UNITHOLDERS' CAPITAL

	Group and Trust	
	2022	2021
Issued and fully paid with no par value:		
Number of units (Units)		
At 1 January/31 December	675,599,076	675,599,076
Unitholders' capital (RM)		
At 1 January	750,555,165	750,745,631
New units issuance expenses	-	(190,466)
At 31 December	750,555,165	750,555,165

16. GROSS RENTAL

Gross rental represents rental income from the investment properties and is generated from Malaysia.

17. PROPERTY OPERATING EXPENSES

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
Assessment and quit rent	6,928,919	6,968,730	6,914,471	6,954,039
Insurance	285,969	329,556	285,535	328,706
Maintenance fees	9,793,335	10,078,293	9,628,174	9,905,425
Others	6,603,257	6,926,602	6,580,523	6,905,567
Direct operating expenses	23,611,480	24,303,181	23,408,703	24,093,737
Property management fees	2,515,998	2,411,896	2,515,998	2,411,896
	26,127,478	26,715,077	25,924,701	26,505,633

18. MANAGER'S FEES

The Manager is entitled under the Deed to a management fee of up to 1.00% per annum of the Net Asset Value of the Trust, calculated on a monthly accrual basis and payable monthly in arrears.

For the financial year, the Manager charged a manager's fees of RM6,624,134 (2021: RM6,708,735) which was calculated based on 0.67% (2021: 0.67%) of the Net Asset Value of the Trust on monthly basis.

19. TRUSTEE'S FEES

The Trustee is entitled to a fee of up to 0.05% per annum of Net Asset Value of the Trust, calculated on a monthly accrual basis and payable monthly in arrears.

For the financial year, the Trustee charged a trustee's fees of RM296,603 (2021: RM300,391) which was calculated based on 0.03% (2021: 0.03%) of the Net Asset Value of the Trust.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

20. FINANCE COSTS

	Group and Trust	
	2022 RM	2021 RM
Interest expense on revolving credits	19,747,943	18,871,828

21. TAX EXPENSE/(INCOME)

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
Current year provision				
- current tax	103,000	97,000	-	-
- deferred tax (Note 13)	-	(2,190,000)	-	(2,190,000)
Underprovision of current tax in prior years	5,174	1,398	-	-
RPGT on disposed properties	-	31,048	-	31,048
Tax expense/(income)	108,174	(2,060,554)	-	(2,158,952)

The numerical reconciliation of tax expense/(income) on income before tax with the statutory tax rate is as follows:

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
Income before tax	60,980,844	40,042,561	60,574,518	39,646,389
Taxation at statutory tax rate of 24%	14,635,403	9,610,215	14,537,884	9,515,133
Non-deductible expenses	310,066	321,630	304,585	319,712
Non-taxable income	(14,842,469)	(15,090,845)	(14,842,469)	(15,090,845)
Difference between income tax rate and RPGT rate applicable on fair value adjustment on investment properties	-	3,066,000	-	3,066,000
RPGT on disposed properties	-	31,048	-	31,048
Underprovision of current tax in prior years	5,174	1,398	-	-
Tax expense/(income)	108,174	(2,060,554)	-	(2,158,952)

Pursuant to the amended Section 61A of the Income Tax Act, 1967, where in the basis period for a year of assessment, 90% or more of the total income of the trust is distributed to its unitholders, the total income of the trust for that year of assessment shall be exempted from corporate tax.

22. EARNINGS PER UNIT

The EPU after manager's fees of the Group and of the Trust have been calculated by dividing income after tax for the financial year of RM60,872,670 and RM60,574,518 (2021: RM42,103,115 and RM41,805,341) by the weighted average number of units in issue of 675,599,076 (2021: 675,599,076).

The EPU before manager's fees of the Group and of the Trust have been calculated by dividing income after tax before deduction of manager's fees for the financial year of RM67,496,804 and RM67,198,652 (2021: RM48,811,850 and RM48,514,076) by the weighted average number of units in issue of 675,599,076 (2021: 675,599,076).

Diluted EPU equals to Basic EPU as there are no potential dilutive units in issue.

23. NET INCOME DISTRIBUTION TO UNITHOLDERS

	Group and Trust	
	2022 RM	2021 RM
Distribution to unitholders declared and paid for:		
<u>Financial year ended 31 December 2021</u>		
- Interim distribution of 4.32 sen	-	29,185,879
- Final distribution of 4.32 sen	29,185,878	-
<u>Financial year ended 31 December 2022</u>		
- Interim distribution of 4.30 sen	29,050,760	-
	58,236,638	29,185,879
 Proposed final distribution of 4.32 sen (2021: 4.32 sen) for financial year ended 31 December	29,185,878	29,185,878
 Total income distribution based on current year's net income	58,236,638	58,371,757

The distribution to unitholders is from the following sources of the Trust:

	Group and Trust	
	2022 RM	2021 RM
Sources of income		
Gross rental income	113,731,892	115,736,605
Interest income	73,010	106,610
Other income	345,399	416,722
	114,150,301	116,259,937
 Expenses (excluding Manager's fees)		
Property expenses	25,924,701	26,505,633
Non-property expenses	20,932,377	21,614,515
	46,857,078	48,120,148

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

23. NET INCOME DISTRIBUTION TO UNITHOLDERS (CONTINUED)

The distribution to unitholders is from the following sources of the Trust (continued):

	Group and Trust	
	2022 RM	2021 RM
Net income before Manager's fees, income distribution, fair value loss on investment properties, net changes on financial liabilities measured at amortised cost and taxation	67,293,223	68,139,789
Fair value loss on investment properties	-	(21,900,000)
Net changes on financial liabilities measured at amortised cost	(94,571)	115,335
Manager's fees	(6,624,134)	(6,708,735)
Tax income	-	2,158,952
	60,574,518	41,805,341
Undistributed income during the year		
- Unrealised loss	94,571	19,594,665
- Realised income	(2,432,451)	(3,028,249)
Total income distribution based on current year's net income	58,236,638	58,371,757
Total distribution per unit (sen)	8.62	8.64

24. TRANSACTIONS WITH STOCKBROKING COMPANIES

There were no transactions made with stockbroking companies during current and prior years.

25. MANAGEMENT EXPENSE RATIO

	Group and Trust	
	2022 %	2021 %
Management expense ratio ("MER")	0.74	0.73

MER is calculated based on the total administrative expenses incurred by the Group and the Trust divided by the average value of the Net Asset Value for the financial year calculated on a quarterly basis.

As the basis of calculation may vary among real estate investment trusts, no accurate comparison can be made between the Group's and the Trust's MER with other real estate investment trusts.

26. UNITHOLDERS BY THE MANAGER

The Manager did not hold any direct units in the Trust in current and prior years.

27. UNITHOLDERS RELATED TO THE MANAGER

	Number of units		Percentage of units in issue		Market value	
	2022	2021	2022 %	2021 %	2022 RM	2021 RM
Directors of the Manager:						
- Dato' Gan Boon Khuay	500,000	400,000	0.07	0.06	575,000	460,000
- Kung Beng Hong	400,000	400,000	0.06	0.06	460,000	460,000
- Kong Sze Choon	69,000	69,000	0.01	0.01	79,350	79,350
Companies related to the Manager :						
- Desa Bukit Pantai Sdn Bhd	102,261,538	102,261,538	15.14	15.14	117,600,769	117,600,769
- Wisma UOA Sdn Bhd	77,729,000	77,729,000	11.51	11.51	89,388,350	89,388,350
- Rich Accomplishment Sdn Bhd	74,661,538	74,661,538	11.05	11.05	85,860,769	85,860,769
- Dynasty Portfolio Sdn Bhd	63,326,600	63,326,600	9.37	9.37	72,825,590	72,825,590
- UOA Corporation Bhd	48,000,000	48,000,000	7.10	7.10	55,200,000	55,200,000
- LTG Development Sdn Bhd	5,600,700	5,600,700	0.83	0.83	6,440,805	6,440,805
Persons related to the Manager via relationship with a Director of the Manager						
- Kong May Chee	15,900	15,900	0.00	0.00	18,285	18,285
- Kong Ai Chee	13,500	13,500	0.00	0.00	15,525	15,525
Director of the Manager (indirect interest)						
- Kong Sze Choon *	24,000	24,000	0.00	0.00	27,600	27,600
- Kung Beng Hong **	163,400	63,400	0.02	0.00	187,910	72,910
Persons related to the Manager via relationship with a Director of the Manager (indirect interest)						
- Kong Chong Soon @ Chi Suim ***	371,579,376	371,579,376	55.00	55.00	427,316,282	427,316,282

* Deemed interest through his shareholding in Global Transact Sdn Bhd.

** Deemed interest through shares held by his spouse.

*** Deemed interest through his shareholdings in United Overseas Australia Ltd (the ultimate holding company of Desa Bukit Pantai Sdn Bhd, Wisma UOA Sdn Bhd, Rich Accomplishment Sdn Bhd, Dynasty Portfolio Sdn Bhd, UOA Corporation Bhd and LTG Development Sdn Bhd).

The market value of the units is determined by using the closing market value of RM1.15 as at 31 December 2022 (31 December 2021: RM1.15).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

28. RELATED PARTY TRANSACTIONS

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

Related parties also include key management personnel defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel include all Directors of the Manager, and certain members of senior management of the Manager.

Other than those disclosed elsewhere in the financial statements, the significant related party transactions are disclosed as follows :

	Transaction value	
	2022 RM	2021 RM
Transactions with companies related to the Managers:		
Group and Trust		
Purchase of plant and equipment	107,020	-
Rental received/receivable	14,861,267	15,974,494
Parking fees paid/payable	9,147	9,147
Security fees paid/payable	531,688	506,530
Landscaping fees paid/payable	43,800	49,600
Repair and maintenance paid/payable	3,060	1,800
Annual General Meeting expenses paid	8,000	8,000
Transactions with subsidiary company :		
Trust		
Rental received	202,913	202,913

The above transactions have been entered into in the normal course of business and have been established based on terms and conditions that are not materially different from those obtainable in transactions with unrelated parties.

The related party balances arising from related party transactions as at the reporting date were disclosed in Notes 8, 9, 10 and 12 to the Financial Statements.

29. MATURITY ANALYSIS OF LEASE PAYMENTS

The Group and the Trust as lessor

The Group and the Trust lease out their investment properties under operating leases. These leases are non-cancellable and typically run for a period ranging from 1 to 5 years, with the option to renew. Subsequent renewals are negotiated with the lease on average rental period of 1 to 5 years. None of the leases include contingent rentals.

The future undiscounted lease payments receivables after the reporting date are as follows :

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
As lessor				
Within 1 year	79,163,884	102,242,399	78,534,638	101,857,311
In the second year	21,076,694	50,342,923	20,535,311	50,342,923
In the third year	4,245,689	9,637,805	3,878,444	9,637,805
In the fourth year	176,777	51,462	176,777	51,462
	104,663,044	162,274,589	103,125,170	161,889,501

30. SEGMENT REPORTING

The segmental financial information by business or geographical segments is not presented as there is only one business activity within the investment properties of the Group and of the Trust and the business activity is operated in Malaysia.

The Manager assesses the financial performance of the operating segments based on, including but not limited to, net rental income. The net rental income enables financial performance benchmarking as such basis eliminates the effect of financing and investment decisions which may not be made at operating level.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

31. FINANCIAL INSTRUMENTS

Classification of financial instruments

The Group and the Trust have financial instruments categorised at amortised cost only and details as follows :

	Group		Trust	
	2022 RM	2021 RM	2022 RM	2021 RM
Financial assets - at amortised cost				
Trade and other receivables	7,877,817	8,825,045	7,846,398	8,767,415
Amount owing by a subsidiary company	-	-	11,500,479	12,100,476
Deposits with licensed financial institutions	1,200,000	1,500,000	1,200,000	1,250,000
Bank balances	2,712,804	5,651,134	2,434,607	5,401,428
	11,790,621	15,976,179	22,981,484	27,519,319
Financial liabilities - at amortised cost				
Other payables	35,397,637	33,772,627	35,169,460	33,578,971
Bank borrowings	675,400,000	683,199,807	675,400,000	683,199,807
	710,797,637	716,972,434	710,569,460	716,778,778

Fair value of financial instruments

Included in payables are tenants' deposits received. The tenants' deposits are determined based on the present value of future cash flows discounted at the market interest rate of 3.59% (2021: 2.81%) per annum at the end of the reporting year.

The carrying amounts of all other financial assets and liabilities approximate fair values due to the relatively short-term nature of these financial instruments.

32. FINANCIAL RISK MANAGEMENT OBJECTIVE AND POLICIES

The Group and the Trust operate within clearly defined guidelines as set out in the Securities Commission's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"). These REIT Guidelines seek to provide a regulatory framework that would protect the interests of the investing public. The Group and the Trust are exposed to a variety of financial risks, including credit risk, interest rate risk and liquidity risk arising from their operations and the use of financial instruments.

Information regarding the Group's and the Trust's exposure to the abovementioned risks and the Group's and the Trust's risk management policies, which ensure compliance with the spirit of the REIT Guidelines, are set out below:

(a) Credit risk

Credit risk is the risk that a tenant or counter party may be unable to meet their contractual obligations. At the reporting date, the maximum exposure to credit risk is represented by the carrying amount of each financial asset in the statements of financial position.

The Group and the Trust are not exposed to significant credit risks as it is not permitted to extend loans or any other forms of credit facilities. The risk of non-collectability of monthly rentals is also mitigated with rental deposits collected from the tenants.

The maximum exposure to credit risk for other receivables is represented by their carrying amounts in the statements of financial position.

The ageing analysis of receivables as at the reporting date which is trade in nature is as follows:

Group

	Gross carrying amount RM	Loss allowance RM	Net balances RM
2022			
Not past due	160,044	-	160,044
Past due 1 to 30 days	334,147	-	334,147
Past due 31 to 90 days	298,402	-	298,402
Past due more than 91 days	1,233,598	-	1,233,598
Past due more than 91 days with credit impaired	4,292,047	4,292,047	-
	6,318,238	4,292,047	2,026,191
2021			
Not past due	321,631	-	321,631
Past due 1 to 30 days	940,560	-	940,560
Past due 31 to 90 days	593,268	-	593,268
Past due more than 91 days	1,553,286	-	1,553,286
Past due more than 91 days with credit impaired	3,897,005	3,897,005	-
	7,305,750	3,897,005	3,408,745

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

32. FINANCIAL RISK MANAGEMENT OBJECTIVE AND POLICIES (CONTINUED)

Information regarding the Group's and the Trust's exposure to the abovementioned risks and the Group's and the Trust's risk management policies, which ensure compliance with the spirit of the REIT Guidelines, are set out below (continued):

(a) Credit risk (continued)

The ageing analysis of receivables as at the reporting date which is trade in nature is as follows (continued):

Trust

	Gross carrying amount RM	Loss allowance RM	Net balances RM
2022			
Not past due	152,840	-	152,840
Past due 1 to 30 days	327,239	-	327,239
Past due 31 to 90 days	290,291	-	290,291
Past due more than 91 days	1,224,402	-	1,224,402
Past due more than 91 days with credit impaired	4,264,602	4,264,602	-
	6,259,374	4,264,602	1,994,772
2021			
Not past due	321,631	-	321,631
Past due 1 to 30 days	924,947	-	924,947
Past due 31 to 90 days	591,319	-	591,319
Past due more than 91 days	1,513,218	-	1,513,218
Past due more than 91 days with credit impaired	3,897,005	3,897,005	-
	7,248,120	3,897,005	3,351,115

(b) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of the Group's and the Trust's financial instruments will fluctuate because of changes in market interest rates.

The Group's and the Trust's investments in fixed rate debt securities and its fixed rate borrowings are exposed to a risk of change in their fair value due to changes in interest rates. The Group's and the Trust's variable rate borrowings are exposed to a risk of change in cash flows due to changes in interest rates.

The Group and the Trust have no exposure to movements in market interest rates other than revolving credit facilities and deposits with licensed financial institutions.

Financial assets

By placing its deposits on short tenures and at prevailing market interest rates, the Group and the Trust are able to reduce their exposures to interest rate fluctuations.

32. FINANCIAL RISK MANAGEMENT OBJECTIVE AND POLICIES (CONTINUED)

Information regarding the Group's and the Trust's exposure to the abovementioned risks and the Group's and the Trust's risk management policies, which ensure compliance with the spirit of the REIT Guidelines, are set out below (continued):

(b) Interest rate risk (continued)

Financial liabilities

The Group and the Trust minimise their interest rate risk by borrowing as far as possible at a floating interest rate.

The information on maturity and effective interest/profit rates on the revolving credits are disclosed in Note 14 to the Financial Statements.

The interest rate profile of the Group's and Trust's significant interest-bearing financial instruments, based on carrying amounts as at the end of the financial year are as follows:

	Group RM	Trust RM
2022		
Fixed rate instruments		
Deposits with licensed financial institutions	1,200,000	1,200,000
Bank borrowings	422,000,000	422,000,000
Floating rate instruments		
Bank borrowings	253,400,000	253,400,000
2021		
Fixed rate instruments		
Deposits with licensed financial institutions	1,500,000	1,250,000
Bank borrowings	422,000,000	422,000,000
Floating rate instruments		
Bank borrowings	261,199,807	261,199,807

A sensitivity analysis has been performed based on the outstanding floating rate borrowings of the Group and the Trust as at the reporting date. If interest rates increase or decrease by 50 basis points with all other variables held constant, the Group's and the Trust's income after tax and equity would decrease or increase by RM1,267,000 (2021: RM1,306,000) respectively, as a result of higher or lower interest expense on these borrowings.

(c) Liquidity risk

The Group and the Trust ensure that there are adequate funds to repay the revolving credit in a timely and cost-effective manner. Sources of funds can be via issuance of units, internally generated funds or borrowings. As timing of these arrangements is critical, the Group and the Trust may be exposed to the risk of its investment properties being foreclosed in the interim. However, the Manager is of the opinion that the facilities will be rolled over and remain available for the long term and there is no imminent obligation to repay.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2022 (CONTINUED)

32. FINANCIAL RISK MANAGEMENT OBJECTIVE AND POLICIES (CONTINUED)

Information regarding the Group's and the Trust's exposure to the abovementioned risks and the Group's and the Trust's risk management policies, which ensure compliance with the spirit of the REIT Guidelines, are set out below (continued):

(c) Liquidity risk (continued)

Group	Carrying amount RM	Contractual cash flows RM	Less than 1 year RM	1 to 5 years RM
2022				
Other payables	35,397,637	35,782,370	24,969,330	10,813,040
Bank borrowings	675,400,000	696,427,900	696,427,900	-
	710,797,637	732,210,270	721,397,230	10,813,040
2021				
Other payables	33,772,627	34,251,931	19,850,701	14,401,230
Bank borrowings	683,199,807	701,726,242	701,726,242	-
	716,972,434	735,978,173	721,576,943	14,401,230
Trust				
2022				
Other payables	35,169,460	35,554,193	24,928,325	10,625,868
Bank borrowings	675,400,000	696,427,900	696,427,900	-
	710,569,460	731,982,093	721,356,225	10,625,868
2021				
Other payables	33,578,971	34,058,275	19,657,045	14,401,230
Bank borrowings	683,199,807	701,726,242	701,726,242	-
	716,778,778	735,784,517	721,383,287	14,401,230

33. CAPITAL MANAGEMENT

The Group's objectives when managing capital is to maintain a strong capital base and safeguard the Group's ability to continue as a going concern, so as to maintain unitholder, creditor and market confidence and to sustain future development of the business. The Directors of the Manager monitor and determine an optimal debt-to-equity ratio that complies with debt covenants and regulatory requirements.

UOA REIT is permitted to procure borrowings of up to 50% of its total asset value pursuant to the REIT Guidelines.

Total borrowings compared to total asset value as at the reporting date is as follows:

	Group	
	2022	2021
Total asset value (RM)	1,729,099,819	1,732,705,917
Total borrowings (RM)	675,400,000	683,199,807
Total borrowings to total asset value (%)	39.1	39.4

ANALYSIS OF UNITHOLDINGS

DISTRIBUTION OF UNITHOLDERS AS AT 31 DECEMBER 2022

Trust	No. of Unitholders	%	No. of Units held	%
Less than 100	119	1.74	1,281	0.00
100 to 1,000 units	1,532	22.41	911,375	0.14
1,001 to 10,000 units	3,354	49.06	16,970,284	2.51
10,001 to 100,000 units	1,508	22.05	49,062,535	7.26
100,001 to less than 5% of issued units	320	4.68	607,684,601	89.95
5% and above of issued units	4	0.06	969,000	0.14
Total	6,837	100.00	675,599,076	100.00

CLASSIFICATION OF UNITHOLDERS AS AT 31 DECEMBER 2022

Category of Unitholders	No. of Unitholders			No. of Units held		
	Malaysian Bumiputra	Malaysian Non-Bumiputra	Foreign	Malaysian Bumiputra	Malaysian Non-Bumiputra	Foreign
1) Individual	179	4,610	60	829,500	98,431,779	3,733,901
2) Body Corporate						
a) Banks/Finance Companies	1	-	-	4,180,000	-	-
b) Investment Trusts/ Foundation/ Charities	1	2	-	10,000	288,000	-
c) Industrial and Commercial Companies	3	60	4	328,000	374,857,676	4,836,300
3) Nominees	1,399	464	53	91,063,820	92,288,200	4,751,800
4) Others	-	1	-	-	100	-
Total	1,583	5,137	117	96,411,320	565,865,755	13,322,001
Grand Total		6,837			675,599,076	

SUBSTANTIAL UNITHOLDERS AS AT 31 DECEMBER 2022

Substantial Unitholders	Direct		Indirect		Direct+Indirect	
	Units	%	Units	%	Units	%
1 UOA Corporation Bhd ("UOA Corp")	48,000,000	7.10	254,652,076*	37.69	302,652,076	44.80
2 Desa Bukit Pantai Sdn Bhd ("Desa Bukit Pantai")	102,261,538	15.14	-	-	102,261,538	15.14
3 Rich Accomplishment Sdn Bhd ("Rich Accomplishment")	74,661,538	11.05	-	-	74,661,538	11.05
4 Wisma UOA Sdn Bhd ("Wisma UOA")	77,729,000	11.15	-	-	77,729,000	11.51
5 Dynasty Portfolio Sdn Bhd ("Dynasty")	63,326,600	9.37	-	-	63,326,600	9.37
6 UOA Holdings Sdn Bhd ("UOAH")	-	-	371,579,376 ¹	55.00	371,579,376	55.00
7 United Overseas Australia Ltd ("UOAL")	-	-	371,579,376 ¹	55.00	371,579,376	55.00
8 Transmetro Sdn Bhd ("Transmetro")	-	-	371,579,376 ²	55.00	371,579,376	55.00
9 Griyajaya Sdn Bhd ("Griyajaya")	-	-	371,579,376 ³	55.00	371,579,376	55.00
10 Kong Chong Soon @ Chi Suim	-	-	371,579,376 ⁴	55.00	371,579,376	55.00
11 Kong Pak Lim	-	-	371,579,376 ²	55.00	371,579,376	55.00
12 UOA Development Bhd	-	-	63,326,600 ⁵	9.37	63,326,600	9.37
13 UOA Properties Sdn Bhd	-	-	63,326,600 ⁵	9.37	63,326,600	9.37
14 Employees Provident Fund	67,507,500	9.99	-	-	67,507,500	9.99

Notes:

- * Deemed interested by virtue of Section 8 of the Companies Act 2016 ("the Act") held through Wisma UOA, Desa Bukit Pantai and Rich Accomplishment.
1. Deemed interested by virtue of the Act through its unit holdings in Damai Positif, Desa Bukit Pantai, Dynasty Portfolio Sdn Bhd ("Dynasty"), LTG Development Sdn Bhd ("LTG") (holding 5,600,700 units in 2 CDS accounts), Rich Accomplishment and Wisma UOA.
 2. Deemed interested by virtue of the Act through its/his unit holdings in UOAL and Griyajaya which in turn has direct interest in UOAL and indirect interest in UOAH.
 3. Deemed interested by virtue of the Act through its unit holdings in UOAL and indirect interest in UOAH.
 4. Deemed interested by virtue of the Act through his unit holdings in Transmetro which in turn has direct interest in Griyajaya which in turn has direct interest in UOAL and indirect interest in UOAH.
 5. Deemed interested by virtue of the Act through Dynasty Portfolio.

THIRTY (30) LARGEST UNITHOLDERS

AS AT 31 DECEMBER 2022

Unitholders	No. of Units	%
1) Desa Bukit Pantai Sdn Bhd	102,261,538	15.14
2) Wisma UOA Sdn Bhd	77,729,000	11.51
3) Rich Accomplishment Sdn Bhd	74,661,538	11.05
4) Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board	67,507,500	9.99
5) Dynasty Portfolio Sdn Bhd	63,326,600	9.37
6) UOA Corporation Berhad	48,000,000	7.10
7) Lim Chee Meng	11,000,000	1.63
8) Cimsec Nominees (Tempatan) Sdn Bhd CIMB For Loh Wee Hian (Pb)	10,600,000	1.57
9) Db (Malaysia) Nominee (Tempatan) Sendirian Berhad Exempt An For AHAM Asset Management Berhad (Tstac/CIntt)	6,950,100	1.03
10) LTG Development Sdn Bhd	5,370,700	0.79
11) Amsec Nominees (Tempatan) Sdn Bhd Ambank (M) Berhad For Tan Boon Seng (7928-1102)	4,545,500	0.67
12) Maybank Nominees (Tempatan) Sdn Bhd Maybank Private Wealth Management For Desamal Capital Sdn Bhd	4,545,500	0.67
13) Cimsec Nominees (Tempatan) Sdn Bhd CIMB For Ahmad Johari Bin Abdul Razak (Pb)	4,315,100	0.64
14) Amanah Raya Berhad - Kumpulan Wang Bersama	4,180,000	0.62
15) HLB Nominees (Tempatan) Sdn Bhd Ta Kin Yan (Csd Sin/Tky)	4,090,900	0.61
16) Yap Tian Tion	3,322,200	0.49
17) Tokio Marine Life Insurance Malaysia Bhd As Beneficial Owner (Pf)	2,909,000	0.43
18) Citigroup Nominees (Tempatan) Sdn Bhd MCIS Insurance Berhad (Life Par Fd)	2,411,600	0.36
19) Christina Chan Swee Lee (Christina Zeng Ruili)	2,025,600	0.30
20) RHB Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Sheldon Wee Tah Poh	1,900,000	0.28

Unitholders	No. of Units	%
21) Lim Bee Eng	1,829,600	0.27
22) CIMB Group Nominees (Tempatan) Sdn Bhd CIMB Commerce Trustee Berhad For Affin Hwang Multi-Asset Fund 2	1,818,100	0.27
23) Wong Lee Yun	1,755,800	0.26
24) Cimsec Nominees (Tempatan) Sdn Bhd CIMB for Loh Gim Ean Holdings Sdn Bhd (Pb)	1,620,000	0.24
25) Goh Thong Beng	1,545,200	0.23
26) Eagle Prosperity Sdn Bhd	1,513,700	0.22
27) RHB Capital Nominees (Tempatan) Sdn Bhd Pledged Securities Account For Lye Ek Seang	1,508,500	0.22
28) Maybank Nominees (Tempatan) Sdn Bhd Maybank Private Wealth Management For Gnanalingam A/L Gunanath Lingam	1,506,000	0.22
29) Maybank Nominees (Tempatan) Sdn Bhd Maybank Private Wealth Management For Ooi Joon Leong	1,350,000	0.20
30) Cimsec Nominees (Tempatan) Sdn Bhd CIMB For Cheah Chin Heng	1,300,000	0.19
Total	517,399,276	76.57

NOTICE OF ELEVENTH ANNUAL GENERAL MEETING



REAL ESTATE INVESTMENT TRUST

UOA REAL ESTATE INVESTMENT FUND

(constituted in Malaysia under the Deed dated 28 November 2005 entered into between UOA Asset Management Sdn Bhd and RHB Trustees Berhad, companies incorporated in Malaysia)

NOTICE IS HEREBY GIVEN THAT the Eleventh Annual General Meeting ("AGM") of UOA Real Estate Investment Trust ("UOA REIT") will be held at Spectrum, Level 3A, Connexion Conference & Event Centre, Nexus, Bangsar South City, No. 7, Jalan Kerinchi, 59200 Kuala Lumpur, Malaysia on Thursday, 20 April 2023 at 10.00 a.m. or at any adjournment, for the following purposes:

AGENDA

1. To lay the Audited Financial Statements for the financial year ended 31 December 2022 (Refer note 2) together with the Trustee's Report to the Unitholders issued by RHB Trustees Berhad, as trustee for UOA REIT and the Statement by the Manager issued by UOA Asset Management Sdn Bhd, as the manager of UOA REIT and the Independent Auditors' Report thereon.

By Order of the Board of

UOA ASSET MANAGEMENT SDN BHD 200501015592 (692639-U)

The Manager of UOA Real Estate Investment Trust

YAP KAI WENG (MAICSA 74580)
WONG YOKE LENG (MAICSA 7032314)
Company Secretaries

Kuala Lumpur
28 February 2023

NOTES:**1. APPOINTMENT OF PROXY**

- (i) Only depositors whose names appear in the Record of Depositors as at 13 April 2023 shall be regarded as Unitholders and be entitled to attend and speak at the AGM.
- (ii) A Unitholder of UOA REIT ("Unitholder") shall be entitled to attend and speak and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to attend and speak in his/her stead.
- (iii) Where a Unitholder is a corporation, its duly authorised representative shall be entitled to attend and speak, and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to attend and speak in its stead.
- (iv) Where a Unitholder is an Authorised Nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint at least one (1) proxy in respect of each Securities Account it holds with units of UOA REIT standing to the credit of the said Securities Account.
- (v) Where a Unitholder appoints two (2) proxies, the appointment shall be invalid unless it specifies the proportions of its holdings to be represented by each proxy.
- (vi) The instrument appointing a proxy shall be in writing under the hand of the appointer or of its attorney duly authorised in writing or if the appointer is a corporation either under its common seal or under the hand of an officer or attorney duly authorised.
- (vii) The instrument appointing a proxy must be deposited at the Business Office of the Trustee at Level 11, Tower Three, RHB Centre, Jalan Tun Razak, 50400 Kuala Lumpur, Malaysia not less than forty-eight (48) hours before the time appointed for holding the Meeting or any adjournment thereof.
- (viii) Please ensure ALL the particulars as required in the Proxy Form are completed, signed and dated accordingly.
- (ix) Last day and time for lodging the Proxy Form is **Tuesday, 18 April 2023 at 10.00 a.m.**

2. AUDITED FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2022

This Agenda is meant for discussion only as the Audited Financial Statements do not require formal approval of Unitholders under the Securities Commission's Guidelines on Listed Real Estate Investment Trusts. Hence, this matter will not be put forward for voting.

PROXY FORM



REAL ESTATE INVESTMENT TRUST

UOA REAL ESTATE INVESTMENT FUND

(constituted in Malaysia under the Deed dated 28 November 2005 entered into between UOA Asset Management Sdn Bhd and RHB Trustees Berhad, companies incorporated in Malaysia)

CDS Account No.:
No. of Units held:

I/We _____ NRIC No. / Company No. _____
of _____ Tel no. _____

being a Unitholder/Unitholders of UOA REIT, hereby appoint the following person(s) as my proxy:

No.	Name as per NRIC	NRIC No.	% unitholding to be represented
1.			
2.			

or failing him/her the Chairman of the Meeting as my/our proxy to participate on my/our behalf at the Eleventh Annual General Meeting ("AGM") of UOA REIT to be held at Spectrum, Level 3A, Connexion Conference & Event Centre, Nexus, Bangsar South City, No. 7, Jalan Kerinchi, 59200 Kuala Lumpur, Malaysia on Thursday, 20 April 2023 at 10:00 a.m., or any adjournment thereof.

Signature of Unitholder(s) / Common seal for Corporate Unitholder(s)

Date:

NOTES:

- (i) Only depositors whose names appear in the Record of Depositors as at 13 April 2023 shall be regarded as Unitholders and be entitled to attend and speak at the AGM.
- (ii) A Unitholder of UOA REIT ("Unitholder") shall be entitled to attend and speak and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to attend and speak in his/her stead.
- (iii) Where a Unitholder is a corporation, its duly authorised representative shall be entitled to attend and speak, and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to attend and speak in its stead.
- (iv) Where a Unitholder is an Authorised Nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint at least one (1) proxy in respect of each Securities Account it holds with units of UOA REIT standing to the credit of the said Securities Account.
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- (ix) Last day and time for lodging the Proxy Form is **Tuesday, 18 April 2023 at 10.00 a.m.**

Fold This Flap For Sealing

Then Fold Here

AFFIX
STAMP

RHB TRUSTEES BERHAD 200201005356 (573019-U)
(as Trustee for UOA Real Estate Investment Trust)
Level 11, Tower Three
Jalan Tun Razak
50400 Kuala Lumpur, Malaysia

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